

**“Economic History of Sikkim: -- A Study of the Planned Economy  
1954-1971”**

**A Dissertation Submitted**

**To**

**Sikkim University**



In Partial Fulfilment of the Requirement for the

**Degree of Master of Philosophy**

**By**

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June 2022

Date 15/06/2022.

**DECLARATION**

I **Amiras Luitel** hereby declare that the research work embodied in this dissertation titled "**Economic History of Sikkim: A Study of the Planned Economy, 1954-1971**" submitted to **Sikkim University** for the award of the degree of **Master of Philosophy**, is my original work. Any content or any part of this dissertation has not been submitted to any other institutions or for any academic purposes.

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This is to certify that the dissertation titled "**Economic History of Sikkim: A Study of the Planned Economy, 1954-1971**" submitted to Sikkim University for the partial fulfilment of the degree of **Master of Philosophy** in the **Department of History**, embodies the result of bonafide research work carried out by **Mr. Amiras Luitel** under my guidance and supervision. No part of the dissertation has been submitted for any other Degree, Diploma, Association and fellowship.

All assistance and help received during the course of investigation have been duly acknowledged by him. We recommend this dissertation to be placed before the examiners for evaluation.

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## CONTENTS

### Page No.

### Introduction

1-24

- Statement of the Problem
- Literature Review
- Objectives
- Methodology
- Chapters

### Chapter 1

#### Planned Economy of Sikkim

25-50

- History of Planning in Sikkim
- The Three Different Economic Plans of Sikkim
  - First Plan (1954-61)
  - Second Plan (1961-66)
  - Third Plan (1966-71)
- Some of the different features of economic plans in Sikkim

### Chapter 2

#### Economic Transition of Sikkim

51-100

- Roads and Transport
- Forest and Agriculture
- Power and Industries
- Health and Education



|                                   |                |
|-----------------------------------|----------------|
| <b>Conclusion</b>                 | <b>101-106</b> |
| • Achievements of Different Plans |                |
| <b>Bibliography</b>               | <b>107-113</b> |
| <b>Appendices</b>                 |                |
| <b>Appendix 1</b>                 | <b>114</b>     |
| <b>Appendix 2</b>                 | <b>115-118</b> |

## INTRODUCTION

What is economy, how does an economy work, how does society grow and develop? These all are the fundamental questions which we all have to dwell whenever we try to study the economy of any country or region. But the answers to these fundamental questions will not be fundamental and absolute because even if we take an example of a single country like India, answers to such questions have been given since the time of Kautilya in his Arthasashtra and it shall continue to be given till human species is alive on earth.

It is, however, a safe premise to hold that the base of any society is its economy. If we want to understand the economy of any country it is necessary that we have to first learn about the different aspects of country's geography, people, history, culture, language and political set up. And this is first and foremost thing we should remember while we try to learn about the economy of an underdeveloped Kingdom like Sikkim.

The Himalayan Kingdom of Sikkim was integrated with the modern economic system from the time when Sikkim fell under the superintendence of British in the year 1887.<sup>1</sup> The first modern budgetary system in Sikkim was started by John Claude White in the year 1889.<sup>2</sup> But after the end of British paramountcy, the Indo-Sikkim Treaty of 1950 based on friendship and goodwill was concluded, and after that in the year 1954 a system of planning was introduced in Sikkim and this time the entire economic plan of Sikkim was sponsored by India.

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<sup>1</sup> Debnath, J.C. Economic History and Development of Sikkim, 2009, Delhi. Abhijeet Publication.

<sup>2</sup> Coelho, V.H, Sikkim and Bhutan (New Delhi: Vikas Publications, 1971).

An Indian Civil Service Officer, Nari K. Rustomji arrived at Gangtok to take over as the Dewan of Sikkim in the second half of 1954. Rustomji, who was more feudal in his outlook than a feudal lord, who needed a valet even to tie his boot lace,<sup>3</sup> became an ally of the palace in Gangtok. And in the same year he, together with Maharaj Kumar Palden Thondup Namgyal, submitted the draft of the 'Seven Year Plan' for Economic Development of Sikkim to the Planning commission of India.<sup>4</sup>

## **STATEMENT OF THE PROBLEM**

The planning process was quite unique to Sikkim from that of many countries, and this uniqueness was basically due to the special relationship existing between Sikkim and India. Unlike in the case of other states of India, where the states were mandated to raise part of the funds by themselves before the Centre released the funds, the entire plan expenditure in Sikkim was financed by Government of India. Similarly, Plans in Sikkim were entirely outside the expenditure process of the state's budget.<sup>5</sup>

If we have to look at Sikkim from the geographical aspect, it falls in the Eastern Himalayan region which is further divided into Greater Himalayan Sikkim- the northern part of the kingdom, where the peaks rise up to 29000 feet above sea level, the average height of these parts being more than 20,000 feet. The second division is- the Inner Himalayan Sikkim, the southern part of the Kingdom, and it is on a lower altitude. It has a complex area of forest covered ranges and fertile valleys. But overall, the whole of Sikkim is hilly terrain, and this type of hilly terrain becomes a hindrance to attempts at planning and development of the region. With this geographical features, which

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<sup>3</sup> E K Santha, Democracy in Sikkim, An Untold Chronicle, 2021, Gurugram. The Aclove Publishers.

<sup>4</sup> Duff, Andrew. Sikkim: Requiem for Himalayan Kingdom, 2015, Gurgaon. Penguin Random House.

<sup>5</sup> Govt. of India, second five-year plan of Sikkim; report of the technical team (New Delhi: planning commission 1961), p.15

warrant distinct treatment in terms of working and drafting an economic programme for development and this was especially the case with the stress or the focus of development that was envisaged after the end of British Paramountcy being that of making a modern welfare state. In other words, Sikkim called for a distinct approach from that fitted the plains in the rest of India: The need was not only of a post-colonial but also a democratic approach as distinct from the monarchical needs and yet to be carried out from within a monarchical structure. As unlike the rest of the Kingdoms that were now integrated into the Republic by the year 1950, Sikkim remained under the Chogyal as much as brought under Republican India.

The first plan was finalized after the discussions between the Government of India and Government of Sikkim, with an outlay of ₹225 lakhs all of which was covered by the financial grants from India. However, within three years from the plan implementation it was found a larger outlay of other important plan was necessary and the plan outlay was finally settled at ₹307.21 lakhs. The actual expenditure during the plan was still higher and it stood at ₹323.69 Lakh.

Although the plan had been stipulated to come into effect from 1954, the first year had to be devoted mainly to the recruitment of the personnel and for the organization of the government departments. The Government of India generously deputed experts in every field and left them at the disposal of the Sikkim palace. At the beginning, it was also necessary to train local people so that Sikkim itself might be in a position to effectively take over the various services and carry the full weight of the subsequent

plans. As a result of all these the actual execution of the plan was started a year later than the stipulated time, i.e. in 1955.<sup>6</sup>

Towards the end of the first plan the Sikkim palace made certain requests to the Government of India for the making of the second plan. This plan was to be of five years in duration and in their draft titled 'Second Five Year Plan 1961-66', the Durbar made an outlay of ₹1190.70 lakhs. These proposals, along with the draft plan and the comments from the different ministries of the Government of Sikkim were asked for at the meeting of the Planning Commission, Government of India on 27 January 1961. In the meeting, the Maharajkumar, who later became the last Chogyal requested for a team of experts to be sent to Sikkim and examine the draft plan.

Accordingly, the Planning Commission appointed a team; the team reached Gangtok in April 1961 and held discussions with the Maharajkumar, the Dewan and the executive councilors, the various departmental heads and the Indian political officer who too was present in Sikkim. A number of representations from individuals as well as organized bodies were received. After many rounds of discussions and consultations, the team prepared the second five year plan of Sikkim with the total outlay of ₹820.70 lakhs.<sup>7</sup>

This plan was however revised later on. When the draft of the plan was being carefully discussed in the Planning Commission, there was a suggestion made that the provision for the buildings must be carefully examined by the team of experts and accordingly a communication was initiated with the Dewan of Sikkim requesting him to precisely estimate the provision for buildings. Then the team was formed and after preliminary

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<sup>6</sup> Govt. of Sikkim, second five-year plan: 1961-66. P.1.

<sup>7</sup> Govt. of India, second five-year plan of Sikkim; report of the technical team (New Delhi: planning commission 1961), p.20.

discussion the team visited different part of the Kingdom and observed carefully the standards that were being maintained. Sikkim is a high rainfall area and the cost of transportation of building material was very high. The Sikkim Public Works Department had to keep these two factors in view while preparing the estimates of the cost of buildings which were being maintained. After discussions with the team of experts the Maharajkumar accepted and instead of ₹820.7 lakhs as recommended by the team previously, the final outlay of the second plan was estimated at ₹813.3 lakhs.<sup>8</sup>. While making revisions in the second plan outlay, priority laid down in the second plan was strictly left intact, the very few new schemes that were now proposed were made to help those priorities to be achieved. In many cases where revisions in scheme wise outlays were necessitated they increased the cost of buildings. However, an attempt was made not to include any new items of buildings.<sup>9</sup>

The Third Five Year Plan began in the year 1966. The Government of Sikkim proposed an outlay of ₹1247.79 Lakhs for the third plan and this was sent to the Planning Commission, Government of India for their approval. Subsequently, the Government of India sent a team of experts to Gangtok for an on the spot appraisal of the needs and problems of planned development programmes in Sikkim as well as for the finalization of the plan. Discussions were held at Gangtok during March of 1966 between officers from the Government of Sikkim and the Government of India, and it was agreed that the outlays for Sikkim's third plan would be ₹900 Lakhs.

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<sup>8</sup> Govt. of India, second five-year plan of Sikkim; report of the technical team (New Delhi: planning commission 1961), p.9-11

<sup>9</sup> Ibid. Preface.

Agriculture was the main occupation in Sikkim, and a robust land revenue structure that was already in place since 1889<sup>10</sup>, and it was one of the major sources for drawing revenue. We are already aware about the geography of Sikkim, the mighty mountains and peaks rising up to 29000 feet above sea level, hills with rough terrain and dense forest cover.

It is hence relevant to factor in the legacy of the region, in terms of the social structure founded and established since the ascendancy of British paramountcy in Sikkim. In Sikkim specially with the long existence of primitive and feudal mode of production and life, a fresh start of new processes, new action, leading to a constructive programme that of development and progress were necessary thus to change the static character of the economy of the Kingdom and make it into a dynamic and active society.

It is hence important to take note of the experience of the Modern economic system, from the year 1954, which was when the First Seven Year Plan was put in place and the fact that the Plan which was financed by India.

We can say that in order to become a modern welfare state, the Kingdom first needed to be industrialized and the aid of modern technology is required in every sphere of life to maintain high standard of living and to eradicate poverty. Social services and programmes like hospitals, schools, drinking water facilities, job opportunities etc. are essential and important part of living and without proper provisions of these services and facilities there can be no high standard of living or eradication of poverty. With the implementation of Indian Sponsored modern economic plan since 1954 how far Sikkim

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<sup>10</sup>Debnath, J.C. Economic History and Development of Sikkim, 2009, Delhi. Abhijeet Publication.

was developed and what were the achievements of the different plans is the concern of this research.

Any study on the economy of Sikkim, we can see, it has to address the twin characteristics that is traditional and modern economy. Sikkim being completely hilly and having climatic condition ranging from frigid snow covered hills and mountains to sub-tropics and also in terms of rainfall there are similar diversities. So in this type of landscape it was difficult for Sikkim to build a modern and stable economic system. Before a comprehensive plan for economic development was designed for Sikkim in the year 1954, Sikkim particularly relied on feudal mode of economic practices. Land was the main source of economy and agriculture was the main occupation of the people. There were different type of land holding patterns in Sikkim and within this different types of patterns, the people were tied to their respective piece of land. There were also a powerful and well defined social class called the Kazis at the top. The Kazi privately owned a huge tract of land, and could hold up to 100 acres of land; however, the influential ones, with special permission could effortlessly grab up to 200 acres of land.<sup>11</sup> The Kazis or the landlord looked after their village and wielded enormous power both administrative and judicial in their areas which came under their jurisdiction.

If we have to look at the history of modern economy of Sikkim we can find that modern economy was not completely modern in Sikkim and the remnants of traditional economic system always existed side by side with modern institutions. Although modernism came along with the English administrators and when John Claude White was appointed as the first Political Officer to administer Sikkim in the year in the year 1889, nothing much was done to break the old traditional system. It was only in the

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<sup>11</sup> Notification: circular no:8545/G of 1924. *Old Laws of Sikkim*, Sikkim Code Volume 4, p.1



year 1954 when a comprehensive plan for economic development was designed for Sikkim that gave a blow to the existence of the traditional economic system.

When we study the economy of any country it is important to know about its history first. Most of the Asian nations used to be colonies of Western countries like Britain, France, Germany, Netherland, Spain, Belgium and Portugal. The decade of the 1940s and the 1950s was an era of economic invention and ideological reaffirmation for the Asian nations as to survive in the centre of world politics which existed then.

As a free nation, India under Pandit Jawaharlal Nehru, followed a socialistic pattern and the module of 'Five Year Plan' were a cornerstone of this socialistic pattern. Sikkim also channelized their progress under the watchful eyes of India. The Indo-Sikkim Treaty was signed in the year 1950, and article ii of the treaty rendered Sikkim to be protectorate of India.<sup>12</sup> After Sikkim became a protectorate of India, the Indian Government financed the economic plan of Sikkim as part of the goodwill and friendship which was the basis of the treaty of 1950.

In 1953 India sent planning officer to Sikkim to assist the durbar in designing a comprehensive plan for the economic development. In 1954 Nari K Rustomji arrived to take over as *Dewan*<sup>13</sup> of Sikkim<sup>14</sup>. Rustomji, since his training days for Indian Civil Service at Dehradun, became a personal friend of Palden Thondup Namgyal 'The Maharaj Kumar' of Sikkim and these two men together took a positive step and introduced the 'Seven-Year Development Plan' for all round economic development

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<sup>12</sup> Moktan, R. Sikkim: Darjeeling, Compendium of Documents, 2004.

<sup>13</sup> *Dewan* meaning Prime Minister, which India used to send to assist the Chogyal in governing the Kingdom.

<sup>14</sup> Duff, Andrew. Sikkim: Requiem for Himalayan Kingdom, 2015, Gurugram. Penguin Random House.

and submitted it to government of India. While the first plan was of seven years of duration from the second plan onwards, the plan period was of five years each.

Nehru said, it can hardly be challenged that, in the context of the modern world, no country can be economically independent unless it is highly industrialized.<sup>15</sup> Same problem was looming in Sikkim and urgent attention was required for setting up industries, Sikkim was in urgent need of attention in Health and Education sector too, but by no means Sikkim could ignore the areas of agriculture; even today agriculture is the mainstay of the people here. And equal attention was also needed for the development of roads and bridges. So, by keeping all these problems at the centre Sikkim contrived a plan laying emphasis on development of health, education, industries, transportation, roads and bridges, tourism, power and agriculture and allied activities.<sup>16</sup> With a total outlay of rupees 323.7 lakhs in the First Seven Year Plan.<sup>17</sup> Which the total plan was financed by India.

The plan was now laid down, after the plan is laid down the second most important work is the implementation of the plan, and for that an effective and coordinated administrative set up is required. In Sikkim both initial formulation and execution of the plan was made by different governmental heads or departments, so the role of government authority in planning is important. In rural areas too the process was similar, there were local administrative machinery and they executed all the developmental works. Now to put plan into operation and to administer them effectively it was necessary to build up an administration system first which was capable for doing the job. And after that decentralization was required in administration in order to

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<sup>15</sup> Nehru, Jawaharlal. *Discovery of India*, 2004, Haryana. Penguin Random House (reprinted).

<sup>16</sup> Lama, M.P. *Sikkim Human Development Report*, 2001, Delhi. Govt. of India Social Science Press.

<sup>17</sup> Notes of shri B.R Tondon, on his visit to Sikkim, National Archives of India, File No. 1(6)-P/54. p.146.

effectively implement the plan projects with higher efficiency and minimum duration possible. We are already aware about the difficult terrain Sikkim has, and equally important is to acknowledge about its small and scattered population, so for to meet this inconvenience and to effectively execute the developmental plans great deal of decentralization is required and this was done effectively.

Sikkim has four districts and each district was placed under district officer, and districts was further divided into blocks, each block comprised of one or more villages depending upon population. Development and Deputy Development officer looked after the district, blocks were supervised by the supervisor, and each village also had Village Level Worker who looked after the village.

Now one of the major problem prevalent in Sikkim was that the absence of technical expertise and trained personal for effective execution of the plans. Sikkim which was a primitive tribal society there was lack of facilities, institution and exposure to bring out such experts. There was no proper educational facilities and training centres for general education in art and science as well as technical studies like medical and engineering to train the people and to produce the workforce required for the administration to execute the proposed developmental plan. Despite the grant of scholarship on a most liberal scale for general education as well as technical studies like medical and civil engineering the government of Sikkim had to depend on trained personnel from outside.<sup>18</sup> And for this heavy financial resources were drained out of the state.

It is possible to have two entirely different kinds of economy in a country, one based on heavy industries and other mainly on cottage industries, India also focussed on two

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<sup>18</sup> Debnath, J.C. Economic History and Development of Sikkim, 2009, Delhi. Abhijeet Publication.

entirely different sectors in its first two Five Year Plans. In Sikkim too when the first Seven Year plan was launched, emphasis was laid on development of infrastructure, commercial farming and cottage industries to replace subsistence farming with commercial farming. And when the third plan was launched in the year 1966, industrial expansion got the priority and plan allocation was increased by 6.2 percent.<sup>19</sup>

For a long time, the development of a country was judged by the growth of Gross National Product (GNP) and Gross Domestic Product (GDP). In the last few decades, narrowness of this concept has been frequently challenged and it is said that development must cover the subjects like life expectancy, proper sanitation, potable water supply, universal standard health services, reduction of infant mortality, proper nutritional intake, increase in literacy and so forth. However there are several authors who have pointed out, that higher per capita income is correlated with indicators of the quality of the life.<sup>20</sup> It is true that development may not all be about income but it surely has a significant role to play in socio-political, ecological and environmental achievements.

Sikkim with her new economic venture built up different developmental infrastructure like industries (both cottage and modern), roads and transport, electricity, educational institutes, tea gardens, forest etc. Sikkim a hilly terrain and a traditional society, development of modern industries in such society was difficult, and this was not only due to natural handicaps but also social inhabitations. Before the start of modern economic plan in 1954 Sikkim had no small or large scale industries, but there is some evidence of few cottage industries in Sikkim supported by household necessities and

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<sup>19</sup> Lama, M.P. Sikkim Human Development Report, 2001, Delhi. Govt. of India Social Science Press.

<sup>20</sup> Dasgupta, Partha. An Inquiry into Wellbeing and Destination, 1993, New York. Oxford Clarendon Press.

local trade.<sup>21</sup> Under the new economic plan Sikkim forged ahead with industrialization and also it was successful to a great extent.

In the first plan period, Rs.3.87 Lakh was spent by the government towards development of cottage industries. Within the first plan period, Palden Thondup Institute of Cottage Industries was established in 1957 at Gangtok East Sikkim.<sup>22</sup> Several Mining Projects was started in many parts of Sikkim, Far Flung irrigation and drinking water projects,<sup>23</sup> a highly successful Sikkim distillery, which the products secured overseas market<sup>24</sup> was started at Rongpo under third plan. However, despite this successful venture of modern industries under the different economic plans, the traditional Sikkimese craftsmanship dates back to several centuries. The Lepchas possessed expertise, in bamboo craft and wood work.<sup>25</sup> The creativity of the Lepchas was applauded by Dr Hooker himself when he visited Sikkim in the nineteenth century. The Bhutias who came to Sikkim in the 14<sup>th</sup> century brought with them the ancient Tibetan practice of carpet and rug weaving.

No nation can be developed without ensuring that its population stays healthy. Such an optimum level of population health can be achieved only through robust healthcare services.<sup>26</sup> Public health care services must be centred in rural areas and in small towns, that is where the majority of population is concentrated and where services rarely reach. The economic plan of Sikkim gave space to public healthcare system. Malaria once

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<sup>21</sup> White J.C. Sikkim and Bhutan: Twenty Years on the North East Frontier 1887-1908,1909, London: Edward Arnold.

<sup>22</sup> Debnath, J.C. Economic History and Development of Sikkim, 2009, Delhi. Abhijeet Publication.

<sup>23</sup> Datta Ray, S.K. Smash and Grab: Annexation of Sikkim, 2016, New Delhi. Tranquebar Press.

<sup>24</sup> Debnath, J.C. Economic History and Development of Sikkim, 2009, Delhi. Abhijeet Publication.

<sup>25</sup> Hooker, Joseph. Himalayan Journals: or Notes of a Naturalist in Bengal, the Sikkim and Nepal Himalayas, the Khasia Mountains and C, 1854, London. J. Murray

<sup>26</sup> Kumbhar, Kiran. (2020): Why India's Founders Championed a State-Dominated Healthcare System, The Wire, 28/01/2020 <https://science.thewire.in/health/why-indias-founders-championed-a-state-dominated-healthcare-system/> Retrieved on 22/08/2021.

rampant was eradicated. Three new hospitals and twelve dispensaries laid the foundation for comprehensive healthcare.<sup>27</sup> An important achievement of the public health programme in Sikkimese Planning was achieved within a very short period of time. One of the article on '*The Statesman Calcutta*' of June 2, 1960 puts, due to successful health campaigns malaria and kala azar, Sikkim's two greatest killer, had been almost completely eradicated by the end of the first development plan. Small-pox was now the thing of the past and tuberculosis, venereal diseases and intestinal worms, which were other main disease were being contained'.<sup>28</sup>

Another important social service that was required in Sikkim in connection with health and disease was supply of safe drinking water. In a hilly terrain like that of Sikkim reaching a water connection to each household is a problem, not only because it is difficult in the hills to collect water from different sources and supply it to each household, but also because water in the hills are full of health hazard elements like *Mika*, *silica* and other types of impurities. So because for this reason it was necessary for the government to provide the people with this amenity. In the Second Five Year Plan government undertook a project called "village and bazar water supply scheme". This supply of safe drinking water was one of the important project of the health authorities. With regard to sanitation and drainage scheme of Gangtok a feasibility report was prepared and the engineers were engaged in working out in the detail in the third plan.<sup>29</sup>

Since the establishment of Namgyal dynasty in 1642 till the second half of the 19<sup>th</sup> century, education in Sikkim was limited only to the study of Buddhist scriptures in various monasteries of the Kingdom. Modern education in Sikkim began when the

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<sup>27</sup> Datta Ray, S.K. Smash and Grab: Annexation of Sikkim, 2016, New Delhi. Tranquebar Press.

<sup>28</sup> Crusade against Disease, The Statesman (Calcutta), June 02 1960

<sup>29</sup> The Process of Planned Development- Health, Sikkim Hereld, May 23, 1972.

Finnish missionaries came to Sikkim in the year 1880. The Finnish Missionaries opened three schools each at Khamdong, Sang and Mangan each. Education in Sikkim got further stimulation with the coming of the Scottish Missionaries in the year 1884, in the subsequent year they set up 10 primary school.

Sir Thutob Namgyal the 10<sup>th</sup> Chogyal, laid the foundation of Secondary education of Sikkim. He set up Bhutia Boarding School at Gangtok in the year 1889. Sir Thutob Namgyal also considered to supply free books to the ‘destitute and the helpless boys’.<sup>30</sup>

Nehru once said, one of the main objective of education must be a desire to serve the community as a whole. Palden Thondup Namgyal in his coronation speech made a claim “*no child lived more than two miles from educational facilities*”, with the establishment of two high schools, a junior high school and ninety-one primary school, upper primary and middle school.<sup>31</sup> With this opening of the schools’ service to Community was also accomplished. This many schools were opened in the first plan.

We have much talked about development of Industries, but it is fundamental for the development of any type of Industries that, power supply and proper transportation system is essential at the primal. The hills of Sikkim with large number of turbulent streams and rivers had a huge potential for electricity generation. The countless water resources and its potentiality got acknowledged for the first time in the year 1927 when Gangtok got electrified. Hydro-electro turbine was setup at Gangtok Rani Chu with the total capacity of producing 50 Kilowatt of electricity, and again in the year 1934 another hydro-electric turbine of same capacity was installed. Now the total power generating

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<sup>30</sup> Letter sent by Thutob Namgyal to the Headmaster Bhutia Boarding School on 24 April 1913.

<sup>31</sup> Datta Ray, S.K. Smash and Grab: Annexation of Sikkim, 2016, New Delhi. Tranquebar Press.

capacity became 100 kilowatts, and this situation prevailed until the initiation of first developmental plan.<sup>32</sup>

During the start of the first developmental plan, the hydel power supplied at Gangtok was probably not sufficient for the whole town and there was probably increasing demand for electricity, at the same time we can also admit that apart from Gangtok there were no power supply to any other part of the Kingdom. So in this situation how can industries be developed? With the launching of the first plan along with the growing urbanisation in the capital town number of houses increased, different governmental offices were setup, there was a growth of town dwellers and these all factors led to the growing demand of electricity and to cater this demand Diesel Power House was constructed at Gangtok with two sets of diesel generators of 275 and 100 kilowatt each, which was commissioned in 1958 and 1961 respectively, now the total electricity available in the state with both hydro and diesel power generators were 475 Kilowatts.<sup>33</sup> This was how electricity was developed in Sikkim.

It is very important for hilly country like Sikkim to have proper transport and communication as a basic prerequisite, this is crucial for the growth of economy and development of industries. In Sikkim construction of roads of modern standards were first undertaken by the British, the first vehicular movement from Siliguri to Gangtok was commenced in the year 1906, and since then regular vehicular movement between the two towns continued. During the planned period starting from 1954, substantial development occurred in the field of roads and bridges. During the first plan approximately 300 miles of roads were constructed. In the second plan there was further

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<sup>32</sup> Sharma, RN, Development of Electricity in Sikkim, Sikkim Hereld, June 12, 1970.

<sup>33</sup> *ibid*



addition of 315 miles of roads.<sup>34</sup> Here we can note that the tremendous rise in the construction of roads during the first and second plan itself is signifying the importance and necessity of roads and transport in the hills of Sikkim.

Mahatma Gandhi said, “*to forget how to dig the earth and tend the soil is to forget ourselves*”.<sup>35</sup> Like any other underdeveloped economy, the basic occupation of Sikkim was and still is agriculture. During the commencement of the first plan Sikkim was predominantly rural, 1951 census speaks about 99 percent of the population living in the villages.<sup>36</sup> During the commencement of the first plan in the year 1954 most important emphasis after roads and bridges was given to agriculture, with the allotment of 21.5 percent of budget in that area.<sup>37</sup> Agriculture in Sikkim was a way of life, Sikkimese depend mainly upon agriculture to run their livelihood. Agriculture in Sikkim was followed as traditional part in people’s life and it was the simplest way of producing and obtaining food for the family. The developmental plans of Sikkim never forgot agriculture, with the introduction of the new economic plan the change in the countryside was spectacular, Geba experimental farm was established at Gyalsing, oranges covered around 1800 acres, cardamom covered around 14000 acres and became the most paying cash crops, also tea gardens were laid down.<sup>38</sup>

Sikkim which was moving with her age old economic system, introduction of modern economic plan in the year 1954 was a historic breakthrough. No doubt the modern economic system made a great impact over the age old economic system, but the

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<sup>34</sup> Coelho, V.H. Sikkim and Bhutan, 1971, New Delhi. Vikas Publication.

<sup>35</sup> Relevance of Gandhian principles in Agriculture, Article by Balamurali Balaji. See online at <https://www.mkgandhi.org/articles/relevance-of-Gandhian-principles-in%20agriculture.html> , last visited on Aug.21 ‘2021.

<sup>36</sup> Mitra, A. Census of India 1951, volume vi, West Bengal, Sikkim and Chandernagore, 1953, Calcutta. Govt. of India Press.

<sup>37</sup> Lama, M.P. Sikkim Human Development Report, 2001, Delhi. Govt. of India Social Science Press.

<sup>38</sup> Datta Ray, S.K. Smash and Grab: Annexation of Sikkim, 2016, New Delhi. Tranquebar Press.

question to what extent did it fit into the social fabric of the country and did the welfare to the people is something which historians need to dwell upon.

## REVIEW OF LITERATURE

Economic policy has many connotations attached to it, but one of the simple definitions as defined by Will Kenton is ‘the production, consumption and distribution of goods and services used in fulfilling the needs of those living and operating within the economy, which is also referred to as an economic system’.<sup>39</sup> Andrew Duff in his book “Sikkim Requiem for Himalayan Kingdom” tells, In 1953 India sent a planning officer to Sikkim to assist the durbar in designing a comprehensive plan for economic development. In 1954 Nari K. Rustomji arrived to take over as Dewan of Sikkim. The Maharajkumar of Sikkim, Palden Thondup Namgyal and Nari K. Rustomji together took a positive step and introduced the ‘Seven Year Development Plan’ for all round economic development and submitted it to the Government of India.<sup>40</sup> While the First Plan was of seven years of duration from the Second Plan onwards the plan period was of Five Years each. Rustomji and Palden together galvanised their efforts to substantiate Sikkim’s ‘Seven Year Plan’, a new fruit canning factory with the name Sikkim Supreme with marketing material showing Khangchendzonga’s pinnacles rising supremely aloft. The new ‘Sikkim Distillery’ with its whiskey named ‘Snow Lion’ which marketed as matching Scottish malts.<sup>41</sup> One of the articles in *Playboy* magazine written by John Sack (quoted in Duff’s Sikkim, 2015) after visiting Sikkim described the plethora of activities in Sikkim.

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<sup>39</sup> Kenton, Will. Economy, 2022. <https://www.investopedia.com/terms/e/economy.asp> . Retrieved on 03.06.2022.

<sup>40</sup> Duff, Andrew. Sikkim: Requiem for Himalayan Kingdom, 2015, Gurugram. Penguin Random House.

<sup>41</sup> Ibid

Mills wool presses, canneries, distilleries downstream, with coal, copper, graphite, gypsum rolling from the hill sides, and twice as many roads, as twice as many hospitals and twice twice twice many kids in school, a land of plenty of happy people.<sup>42</sup>

In 1957 visit from Indian Prime Minister Nehru also cheered Thondup and Rustomji for doing well in their new adventure.<sup>43</sup> “Democracy in Sikkim An Untold Chronicle” by E K Santha also talks about Nehru being impressed with the fruits of the First Seven Year Plan –new roads and bridges and schools and various institutions and state farms.<sup>44</sup>

H G Joshi in his book “Sikkim Past and Present” talks about the economy of the Kingdom, he says The Seven Years (1954-1961) have been a period of rapid economic growth under India’s guidance. Due to the success of the First Plan it prompted the launching of the Second Plan in the year 1961. The \$17,073,000 Second Five Year Plan was entirely financed by India.<sup>45</sup> He talks about in the two different plans emphasis is on transportation, however various projects related to agriculture, forestry, minerals, industries and power included in the plan would provide employment and training facilities to local youths for manning the technical services of the government.<sup>46</sup>

Dick B. Dewan in his book “Education in Sikkim an Historical Perspective Pre-Merger and Post Merger Period”, has mentioned about development of education in Sikkim during the period 1950-1975 which covers the plan period which I am dealing with. Dewan talks about Prime Minister Jawaharlal Nehru visited Sikkim in the year 1952 and he provided a fund of ₹350 Lakhs in the name of Seven Year Plan 1954-61 from

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<sup>42</sup> Ibid.

<sup>43</sup> Ibid

<sup>44</sup> E K Santha, *Democracy in Sikkim, An Untold Chronicle*, 2021, Gurugram. The Alcove Publishers.

<sup>45</sup> Joshi, H G. *Sikkim Past and Present*, 2004, Delhi, Mittal Publication

<sup>46</sup> Ibid.

which the first ever Education Department was established. Further he says, after the establishment of the education department, quite many schools were declared as government schools and in many of the villages new schools were opened. With a due place for education the economic help continued.<sup>47</sup> Dewan in his work has thoroughly talked about Phenomenal expansion of education in Sikkim during 1950-1975 with the growth of elementary standard schools. He also has talked about growth of secondary schools and few high schools in Sikkim during the same period. Further he talks about Teachers' status, Textbooks used, Teachers' Training Institute and different policy measures and due efforts adopted by the Durbar in education of Sikkim.<sup>48</sup>

J.C Debnath in his book "Economic History and Development of Sikkim" explains, how a modern economic plan for all round economic development was started in Sikkim. He talks about Planning Officer being deputed by Govt. of India in the year 1953 to assist the Darbar and in 1954 Maharaja of Sikkim took the positive step by introducing The First Seven Year Development Plan of Sikkim. He also talks about how economic plan was proposed, designed, prepared and passed through different layers of the government and finally reaching the Chogyal for his sanction and going to the Indian Planning Commission for final revision and the allocation of the funds<sup>49</sup>

One of the article in Sikkim Herald of May 23, 1972, "*The Process of Planned Development- Health*", tells in the Second Five Year Plan government undertook a project called "village and bazar water supply scheme". This supply of safe drinking water was one of the important project of the health authorities. With regard to

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<sup>47</sup> Dewan, Dick B. *Education In Sikkim An Historical Retrospect Pre-Merger and Post-Merger Period, 2012*, Darjeeling, Society for the Procurement and Sales of Books.

<sup>48</sup> Ibid.

<sup>49</sup> Debnath, J.C. *Economic History and Development of Sikkim*, 2009, Delhi. Abhijeet Publication.

sanitation and drainage scheme of Gangtok a feasibility report was prepared and the engineers were engaged in working out in the detail in the third plan.<sup>50</sup>

Anjan Chakrabarty in his book “Economic Development and Employment in Sikkim”, talks about industrial development in Sikkim during the plan period. He says in 1954, The First Seven Year Development Plan was launched in Sikkim and emphasis was made on the development of infrastructure, commercial farming and cottage industries. He further says, Industrial expansion got priority only during the start of the Third Plan in the year 1966.<sup>51</sup> During the Third Plan Sikkim Distilleries for distillation of wine and liquor was established in Rongpo east Sikkim. Also Government fruit preservative factory came up at Singtam in 1956, giving impetus to orange production.<sup>52</sup>

In Sikkim construction of roads of modern standards were first undertaken by the British, the first vehicular movement from Siliguri to Gangtok was commenced in the year 1906, and since then regular vehicular movement between the two towns continued. V.H. Coelho in his book “Sikkim and Bhutan”, tells during the planned period starting from 1954, substantial development occurred in the field of roads and bridges. During the first plan approximately 300 miles of roads were constructed. In the second plan there was further addition of 315 miles of roads.<sup>53</sup>

During the commencement of the first plan Sikkim was predominantly rural, 1951 census speaks about 99 percent of the population living in the villages.<sup>54</sup> M.P. Lama in

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<sup>50</sup> The Process .of Planned Development- Health, Sikkim Hereld, May 23, 1972.

<sup>51</sup> Chakrabarti, Anjan. Economic Development and Employment in Sikkim, 2009, Delhi. Authorpress Publication

<sup>52</sup> Ibid.

<sup>53</sup> Coelho, V.H. Sikkim and Bhutan, 1971, Delhi. Vikas Publication.

<sup>54</sup> Mitra, A. Census of India 1951, volume vi, West Bengal, Sikkim and Chandernagore, 1953, Calcutta. Govt. of India Press.

his book “Sikkim Human Development Report, 2001” tells, During the commencement of the first plan in the year 1954 most important emphasis after roads and bridges was given to agriculture, with the allotment of 21.5 percent of budget in that area.<sup>55</sup> Sunanda K. Datta Ray in his book “Smash and Grab Annexation of Sikkim” talks about origin of idea for having an economic plan and the way it was started. He talks about Indian Prime Minister Pt. Jawaharlal Nehru paying his first visit to Sikkim in the year 1952 and asking Sikkim to build up their own economic plan. Also he talks about Nehru after returning to New Delhi sent a team of planners to tour Sikkim and draw its first economic plan for overall growth. As mentioned in his work *Smash and Grab*, the First Seven Year Plan commenced in the year 1954 cost ₹-32.4 million. And by the end of the fourth plan the economic plans absorbed ₹360 million.<sup>56</sup> From the second plan period the plan was reduced to five years to synchronise with the economic plan that of India. Ray talks about spectacular changes in the countryside with the commencement of the plans, there were a sense of personal achievement in outposts like the 200 acre of *Royal Meadow* Geba experimental farm near Gyalsing. He mentions about Mandarin oranges farm covering about 1,800 acres also says it could be more lucrative but because of poor communication and with the main market in the plains could not be.<sup>57</sup> Cardamom occupied about 14000 acres and this became the most paying cash crop under Chogyal’s regime, it has been mentioned that in the year 1971 cardamom was the single most important crop in the ₹4 Lakh that Sikkim earned from exports.<sup>58</sup> New Delhi economic intellectuals also complimented Sikkim for using investment funds more constructively than India.<sup>59</sup> With the succession of the plan, literacy rate also rose

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<sup>55</sup> Lama, M.P. Sikkim Human Development Report, 2001, Delhi. Govt. of India Social Science Press

<sup>56</sup> Datta Ray, S.K. *Smash and Grab: Annexation of Sikkim*, 2016, New Delhi. Tranquebar Press

<sup>57</sup> Ibid

<sup>58</sup> Ibid

<sup>59</sup> Ibid

from 12.3% to 15.9%. The establishment of two high schools, a junior schools, and ninety one primary, upper primary and the middle school were done under the different plans.<sup>60</sup> With the commencement of the plans there were some achievements in the health sector too Malaria once rampant was eradicated, with the establishment of three new hospitals, and twelve dispensaries laid the foundation for comprehensive healthcare. After the start of the plans seed multiplication centres improved the quality of paddy, wheat and maize. The Hilly-Ribdi plans were developed for growing potatoes, scientific apple cultivation was started in Lachen and Lachung. Tea gardens were laid out, forests planted, Jersey bulls and Landrace pigs were distributed to farmers. Jorethang was the site for bacon cutting centre, while sheep station was opened at Zemu and Dentam. Far flung irrigation and drinking water projects, a State Trading Corporation, different hydroelectric project and a highly successful Distillery and a Fruit Preservative Factory at Singtam was started under the plan. A state owned transport service launched SNT. Mining, paper and pulp factory, more roads and bridges were constructed.<sup>61</sup>

## **OBJECTIVES**

- To study about the origin and implementation of the planned economy in Sikkim.
- To study about the economic transition because of the planned economy.
- To study about the achievements of the three different plans.

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<sup>60</sup> ibid

<sup>61</sup> Ibid

## **METHODOLOGY**

Historical analysis of nation economics (policy and politics) plays a huge part in its core formation and development. One can comprehend the importance of economics in history and its relationship with any nation with the basic idea that economic history itself remains a crucial part of any college or university's history syllabus. To dwell upon the economic history of the Himalayan Kingdom Sikkim, this research follows the documented history and looks upon the published works related to the economy of the Kingdom. As both primary and secondary data are equally important the research has looked into documents at the Sikkim State Archives Gangtok, Digitized National Archives of India, the Planning and Development Department Government of Sikkim, Planning Commission of India, newspapers and article.

### **Chapters then are:**

- Introduction

The Introduction discusses the physical feature, political setup, history of people, with a historical overview with specific focus on the impact of these on the plan process and the economic development/transition therein.

- Chapter 1 is on the Planned Economy of Sikkim

This chapter deals with the first three plans of Sikkim beginning from 1954 till the end of third plan i.e. 1971 covering the total period of seventeen years.

- Chapter 2 is on the Economic Transition of Sikkim

This chapter deals with division of economy into different areas like industries, transport, power, education, health, drinking water, forest and agriculture and the difficulties that came while executing the plans. It also deals with the division of economy into different sectors.



- Conclusion

This chapter is an overall review of three plans and the significant development it made in the public sector. It will also deal with the questions like, how far did the economic plans adapted with the social fabric of the country, and also will try to bring out answers whether we have got some lessons to learn from it or not so that it can be useful in the future.

## Chapter 1

### Planned Economy of Sikkim

Attempts were made for the preparation of developmental schemes in Sikkim as early as in 1946. As part of this, a planning commission was set up under the chairmanship of the then Maharajkumar of Sikkim, Palden Thondup Namgyal.<sup>62</sup> This commission, however could make no progress because of the lack of funds available from the resources of the Kingdom. Hence this planning commission could not function and there was practically no plan of economic development in Sikkim.

However, destiny of Sikkim seemed to have been different; and one event took Sikkim to that direction. In April 1952, India's first Prime Minister Jawaharlal Nehru visited the Himalayan Kingdom of Sikkim.<sup>63</sup> Nehru was greatly pleased by the rich and varied scenic beauty of Sikkim nestled in the eastern Himalayas.<sup>64</sup> It was during this visit that Nehru prodded the palace to look into the possibilities of designing a fresh developmental plan for the overall development of Sikkim. With the objective of bringing development in the land and to improve the amenities necessary for a modern welfare state, without affecting the essential fabric of Sikkimese life and the tradition and its cultural pattern, Sikkim was ushered into the plan process since then<sup>65</sup>

In 1953 a Planning Officer was sent by the Indian Government to assist the Durbar in the framing of the plan.<sup>66</sup> And in the second half of 1954, Nari K Rustomji, a friend of

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<sup>62</sup> Debnath, J.C. *Economic History and Development of Sikkim*, 2009, Delhi. Abhijeet Publication.

<sup>63</sup> E K Santha, *Democracy In Sikkim, An Untold Chronicle*, 2021, Gurugram. The Alcove Publishers.

<sup>64</sup> Debnath, J.C. *Economic History and Development of Sikkim*, 2009, Delhi. Abhijeet Publication.

<sup>65</sup> Proceeding of The Executive Council Meeting in Connection with Developmental Plan of Sikkim-1954-55, (Gangtok, Planning and Development Department 1954-55), Sikkim State Archives.

<sup>66</sup> Debnath, J.C. *Economic History and Development of Sikkim*, 2009, Delhi. Abhijeet Publication.

the Maharajkumar and a Civil Servant in India, arrived at Gangtok to take over the charge of Dewan.<sup>67</sup> Together, Nari K Rustomji and Maharajkumar Palden Thondup Namgyal worked on drafting a plan document and submitted the First Seven Year Plan (1954-61) for the all-round economic development of the Kingdom to the Government of India.

This chapter will deal with the first three Plans of Sikkim covering the total time span of seventeen years from 1954 to 1971. The first plan of Sikkim was for seven years other two plans were of five years each. It may be noted in this connection that in India, there was a disruption due to monsoons failing back to back in the two years after 1963 and hence the Third Five Year Plan was truncated and India went for annual plans for three years after 1964. Sikkim was rather fortunate in having no such disruption. Therefore, we can say that Sikkim's experience in planning is no less than that of India. Although India started its plan for economic development in the year 1951 and Sikkim did in the year 1954.

- **History of Planning in Sikkim**

In Sikkim the planning process was different from that of many countries that took the path of planned economic development. The funds for Sikkim's plan in its entirety came from India and thus Sikkim was not burdened with the task of generating even a part of the funds. This was because of the special relation that was there between Sikkim and India rooted in Article X of the Treaty of 1950 that talks about friendly relations between India on the one hand and Sikkim as its Protectorate.<sup>68</sup> The entire plan budget in Sikkim was funded by India, mostly in the form of grants and sometimes in the form

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<sup>67</sup> Duff, Andrew. *Sikkim: Requiem for Himalayan Kingdom*, 2015, Gurgaon. Penguin Random House.

<sup>68</sup> Kaji, Jigme N. *Sons of Sikkim*, 2020, Sikkim. Hill Media Publication. P.414

of loans. In Sikkim, therefore, there was no burden of revenue collection for the purpose of economic development. Thus, the Plans of Sikkim was entirely outside the revenue expenditure heads of the state budget.<sup>69</sup> One department – the Planning and Development Department -- headed by the Development Commissioner which was responsible for the overall coordination of the developmental plans which was prepared by the different departments and looked after their execution.<sup>70</sup> Meanwhile, as early as in 1949 itself, the Government of India had appointed John S Lal (an Indian Civil Service Officer) to act as Prime Minister of Sikkim. John S Lal was the first of the Indian Dewans also appointed in that position by the Chogyal.<sup>71</sup> The Tibetan synonym of the Prime Minister was *Sidlon*.

In the beginning, the plans of all the departments were prepared by the respective heads of the Department and these heads sat for a meeting with the Development Commissioner, the Finance Secretary, the Finance Advisor, all of them sent by the Government of India; the Dewan and the Chief Secretary too were part of this process. And this meeting was concluded with bringing up of State plan which was then sent to the Chogyal for his approval. After the state plan was approved by the Chogyal it was sent to the Planning Commission of India, New Delhi.

New Delhi, in turn, sent a team of experts to look into the needs and prospects that had been envisaged in the state plan. The team, after touring the state and meeting with different officers, suggested some modification required in the view of the Government

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<sup>69</sup> Govt. of India, *Second Five Year Plan of Sikkim: Report of the Technical Team* (New Delhi: Planning Commission, 1961), p.15.

<sup>70</sup> Debnath, J.C. *Economic History and Development of Sikkim*, 2009, Delhi. Abhijeet Publication.

<sup>71</sup> Kaji, Jigme N. *Sons of Sikkim*, 2020, Sikkim. Hill Media Publication. P.200.

of Sikkim. This modified report became the final blueprint of the plan and now for Indian government it was a rule for them to fund the plan.<sup>72</sup>

Sometimes, even after the final adoption of the plan there were changes made and this was done in consultation between the Government of Sikkim and the Planning Commission of India. All the plans of Sikkim were of medium term, the first plan was of seven years of duration 1954-61 and from the second plan it was reduced to five years each like that of India. During the first plan there was no attempt made to break up the plan into annual plan and later its need was felt while in the execution. The first technical team which was sent by the Indian government at the end of the plan pointed out its drawback and made a suggestion that in the second plan it will be essential to formulate the plan of the year carefully.<sup>73</sup>

Accordingly, the State Planning and Development Department took the initiative for that purpose and it was strengthened during the Second Plan, which was for a period of five years. It was decided that all the technical departments as well as the district administrative set up would come together for the making of the annual plan and once this annual plan was formulated the provision of the plan would be sent to the concerned departmental head for their execution. Also it was decided that the annual plans would be prepared along with the budget that will be required for its execution and since the Second Plan there was regular publication of the plan on yearly basis.

Unlike the process of determination of the budget that was done in India it was quite simple in Sikkim. Every year, in September all the departmental heads submitted their

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<sup>72</sup> Proceeding of The Executive Council Meeting in Connection with Developmental Plan of Sikkim- 1954-55,(Gangtok, Planning and Development Department 1954-55) Sikkim State Archives.

<sup>73</sup> Govt. of India, Second Five Year Plan of Sikkim: Report of the Technical Team (New Delhi: Planning Commission, 1961), p.15.

receipts and expenditure of their respective budgets for the next financial year i.e. from April to March. Now the Finance Secretary and his department scrutinized the departmental budget, and in the month of December every year, the Finance Secretary and all the heads of the departments sat together and they finalized the budget. And next, the draft of this proposed budget was placed before the state council in the month of February for its approval and modification if any. After it was approved by the Sikkim State Council it was sent to the Chogyal for his final approval. Then after the approval of the Chogyal it was recognized as the final budget for the next financial year.<sup>74</sup>

However most of the time, as is the case everywhere, the final proposed budget also underwent some changes when revenue and expenditure of different departments underwent the changes in course of time and situation. Due to this, a revised budget was always likely to be prepared in the end of every financial year. The preparation of the revised budget for the current year and the budget estimates for the next year were made almost at the same time. The preparation for the annual plans were similar to that of calculating the state budget but the preparation of the annual plan was done by the Planning and Development Department and preparation of plan for the state budget was done by the finance department.

The Planning and Development Department also prepared and published the documents showing the expenditures of the plans since the start of the Second Plan, i.e. since 1961. From the Second Plan onwards, expenditures were divided into three heads. i.e. recurring expenditure, expenditures on buildings and other non-recurring expenditure.

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<sup>74</sup> Proceeding of The Executive Council Meeting in Connection with Developmental Plan of Sikkim-1954-55,(Gangtok, Planning and Development Department 1954-55) Sikkim State Archives.

Further from the Third Plan of Sikkim, non-recurring expenditure was further divided into non-recurring expenditure and other capital investment.

As the entire funds for the plan was provided by the Government of India, there was no pressure of shortage of funds for the execution of the plans. However, the important part of the whole process remained the timely release of the funds. Even after the finalization of the plans the Indian government did not release the entire funds at once, but the release was made in instalments at various times. It is also a fact that the funds released invariably fell short of the plan size.

As for instance, the total outlay of the plan during the First Plan (1954-61) stood at ₹323.7 Lakhs.<sup>75</sup> However, the amount released by the Indian government was only ₹ 317.65 Lakhs. We can find in the report of the first technical team how the Sikkim Durbar had ended up borrowing to the tune of ₹ 600000/- from a Calcutta Bank on account of the extra expenditure that was incurred during the first plan period, especially towards its end, between 1960-61.<sup>76</sup> This may certainly have become a strain for the Government of Sikkim and to improve the situation the Indian Government put forward some suggestions, in October 1962,<sup>77</sup> and it was accepted by the Durbar. However, there was no final decision taken by the government until the second technical team visited Sikkim in April-May of 1964. During the mid-term appraisal of the Second Five Year Plan, the technical team said “release of funds for the current plan

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<sup>75</sup> a. [https://niti.gov.in/planningcommission.gov.in/docs/plans/stateplan/sdr\\_pdf/shdr\\_sikkim01.pdf](https://niti.gov.in/planningcommission.gov.in/docs/plans/stateplan/sdr_pdf/shdr_sikkim01.pdf).

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b. notes of Shri B.R Tandon, on his visit to Sikkim, *Sikkim Development Plan implementation*, 1954. P.146.

<sup>76</sup> Govt. of India, *mid-term appraisal of the second five year plan*: Report of the technical team (New Delhi:planning commission 1964) p.11.

<sup>77</sup> State Council Proceedings (Sikkim State Archives, Planning and Development Department 1962).

have so far been on ad-hoc basis, which necessarily results in delays and can also leads to over-drafts.”<sup>78</sup>

In this context, the Government of Sikkim put forward the following suggestions to the second technical team for their consideration.

- On the basis of the annual allocation accepted for the financial year, funds for the first nine months of the year to be released in quarterly instalments i.e. in the first week of April, July and October respectively.
- The expenditure that was to be furnished by Sikkim will be quarterly and be due by the end of the month following the quarter to which it relates;
- Instalments of the last quarter to be made in the month of February and anticipate the expenditure from the month of January till March.<sup>79</sup>

The technical team accepted the suggestions and urged the Indian government to take the decision at the earliest in this regard. And in turn the Government of India, in accordance with the suggestion, revised the procedure at the end of the second plan and from then the procedure that was revised was followed.

For the implementation of the developmental plans, an efficient and coordinated administrative setup is required. In Sikkim both the initial drafting and the execution of the plans was made by different departments of the government. And as such, in the development plans of Sikkim the role of public administration remains quite important.

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<sup>78</sup> Govt. of India, *mid-term appraisal of the second five year plan*: Report of the technical team (New Delhi:planning commission 1964) p.11.

<sup>79</sup> Govt. of Sikkim, *Second Year Plan: 1961-66* (Gangtok: Public relations officer) p.1



Also, in the rural areas, all the developmental works were practically carried out by the local administrative machinery.

To effectively execute various developmental plans, we need an effective administrative set up. And further the administration has to be decentralized accordingly for effective and earliest implementation of the plans. In consideration of the difficult terrain, scattered population and public convenience for the adequate execution of the plan projects, the administrative set up needs a great deal of decentralization and while we read the documents related to economic plans of Sikkim we can find that decentralization was done accordingly.

There were four districts in Sikkim; East, West, North and South. Each district was placed under a District Officer. The District Officer was the administrative head of the district. Also, each district had one Deputy Development Officer who looked after the supervision and coordination of the district level development works. There was one Development Commissioner in Sikkim and the Deputy Development Officers of each district worked under him. Every district also had one Extension Officer who was under the Director of Agriculture and they looked after the agricultural works of the districts.

Further, each district was subdivided into number of blocks and each block comprised of one or more villages as per the population. There was a supervisor for each block who worked under the District Extension Officer and under their supervision there were village level workers who looked after each village. Every village had one Village Level Worker and they were the lowest extension workers in agriculture. The participation of the people was equally important in the execution of the plans and these

was guided by the panchayats of the village. Every three years<sup>80</sup> the villages elected their panchayats and these panchayats, in coordination with village level worker, supervisor and other officers, even implemented and executed all sorts of developmental works within their respective blocks of the village. So, we can see there was great deal of effective and smooth decentralization of the administration.

- **The Three Different Economic Plans of Sikkim**

### **First Plan (1954-61)**

After the full discussion between the Durbar and the government of India the first plan was finalized. The Indian government decided to provide the necessary fund as laid out in the Plan -- ₹225 Lakhs. However, in course of time, after three years of plan implementation, it was realized that there were some schemes which needed larger and extra funds. So the plan was finally settled at ₹-307.21 Lakhs. However, the actual expenditure of the plan during the period was still higher and it stood at ₹-323.7 Lakhs.

The first year of the plan, i.e. 1954, was mainly used for restructuring of the government departments; the experts and number of personnel for other positions had to be recruited for effective organization and implementation of the plans. The Indian government provided experts to work in every field and they were left at the disposal of the Sikkim Durbar. Also, it was equally necessary to train the local people of Sikkim in administrative tasks so that within the course of time Sikkim itself might be in the position to effectively take charge of its various services and plans. So, because of all

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<sup>80</sup> Section 6(4), *The Sikkim Panchayat Act 1965*. SIKKIM DARBAR GAZETTE. Gangtok, December 24, 1965.

these reasons the actual implementation of the plans was started only after a year of the stipulated time i.e. in 1955.<sup>81</sup>

The data below (Table 2.1) will explain the allocations under various heads during the First Plan and give us a sense of the priorities.

**Table 2.1**

**Outlays and Expenditure under the First seven-year plan of Sikkim**

(₹. In lakh)

| <i>Head of Development</i>                   | <i>Initial outlay</i> | Revised<br>Outlay | Actual<br>Expenditure |
|----------------------------------------------|-----------------------|-------------------|-----------------------|
| <b>I. Agriculture and allied Occupations</b> |                       |                   |                       |
| 1. Agriculture                               | 16.00                 | 16.00             | 13.00                 |
| 2. Animal Husbandry                          | 6.00                  | 5.94              | 2.92                  |
| 3. Dairy Development                         | 4.00                  | 5.36              | 5.52                  |
| 4. Minor Irrigation                          | 6.00                  | 3.25              | 1.55                  |
| 5. co-operation                              | 8.25                  | 7.02              | 5.42                  |
| 6. Forests                                   | 9.00                  | 25.48             | 22.58                 |
| 7. Horticulture                              | 11.00                 | 9.26              | 11.21                 |
| Total                                        | 60.25                 | 72.31             | 62.20                 |
| <b>II. Power, transport and Industry</b>     |                       |                   |                       |
| 1. Power                                     | 11.00                 | 26.63             | 29.83                 |
| 2. P.W.D (Roads and Bridges)                 | 78.00                 | 131.63            | 139.01                |
| 3. Road Transport                            | 8.50                  | 13.46             | 16.70                 |
| 4. Post and Telegraph                        |                       | 0.05              | 0.01                  |
| 5. Aerial Ropeway                            | 22.00                 |                   |                       |
| 6. Cottage Industry                          | 7.00                  | 5.50              | 3.87                  |
| 7. other Industries                          | 10.00                 | 7.90              | 14.40                 |
| Total                                        | 136.50                | 185.17            | 203.82                |

<sup>81</sup> Govt. of Sikkim, second Development Plan (A five Year Plan 1961-66), Unpublished Draft, Part 1 Sikkim State Archives, Introduction, p1.

|                                        |        |        |        |
|----------------------------------------|--------|--------|--------|
| III. Social Services and Miscellaneous |        |        |        |
| 1.Education                            | 18.00  | 19.95  | 23.22  |
| 2. Health                              | 10.25  | 15.12  | 22.73  |
| 3.Housing                              |        | 12.96  | 10.26  |
| 4.Publicity and Cultural activity      |        | 1.70   | 1.46   |
| Total                                  | 28.25  | 49.73  | 57.67  |
| Grand Total                            | 255.00 | 307.21 | 323.69 |

Source: 1. Govt. of Sikkim, *Sikkim Development Plan* (Gangtok:Sikkim Durbar Press, 1955),p.39.

2.Govt. of Sikkim, *Seven Years of Progress, 1954-61* (Gangtok:Sikkim Durbar Press, 1962),p.32.

3.Govt. of India, *Second Five Year Plan of Sikkim: Report of the technical team.* (New Delhi: Planning Commission, 1961),p.17.

### **Second Plan (1961-66)**

At the end of the first plan, the Government of Sikkim made certain proposals to the Government of India. They urged that the second plan be made up of five years and not seven years like the previous one. The draft was prepared as the Second Five Year plan (1961-66). The government of Sikkim proposed a plan size of ₹1190.70 Lakhs in the second plan. The proposals, along with the comments and suggestions from the concerned departments of Government of Sikkim, were given due consideration at the meeting of the Planning Commission of India which was held on 27 January 1961. Both Maharaja Sir Tashi Namgyal and the Maharajkumar Palden Thondup Namgyal attended the meeting. The Maharajkumar made a plea that the team of experts from India visit Sikkim as early as in April of 1961 and examine the proposed draft of the plan.

Accordingly, the Planning Commission of India, in consultation with the External Affairs Ministry, deputed a team. As early as in April 1961, the team reached Sikkim, and the meeting was held between the Maharajkumar, the Dewan or *Sidlon*, the

Executive Councilors, the various heads of the departments, the Indian Political Officer stationed at Sikkim and also the representatives from various local political parties which were arranged by the Durbar. After many rounds of discussions and debates, the drafts were brought to a conclusion and the team prepared the Second Plan, now for five years, with the total outlay of ₹820.7 Lakhs.

However, this draft was also revised later when it came up for discussion in the Planning Commission with regards to the provision for buildings. The Planning Commission officers had insisted that the provision for buildings must be carefully examined and for this the Indian Government issued a communication to the *Dewan* of Sikkim requesting him to carefully examine the provision for building with regard to its cost, specification, and justification. The different departments of the Government of Sikkim compiled the information sought for and gave it to the team appointed by the Dewan.

The hilly and difficult terrain of Sikkim, the high rainfall in the area were all factored in during this exercise. The higher cost of transportation in such places were taken into consideration. So, the Public Works Department of Sikkim had to keep these factors in mind before preparing the estimates of buildings and construction required for various government offices and the departments.

In the kingdom of Sikkim, building construction were required on much larger scale. And with consideration of the landscape of Sikkim, the Durbar made a vision of a specification which might be economic and alternative for the proposed work. For example, saw mills were established near the forest and the timber used to be brought and stored near the area where building programmes were deemed to be started. So that, the production of the timber as well as the cost of transportation would be lesser. The

cost of timber in Sikkim was cheaper than cement and hence use of timber was preferred in place of reinforced concrete. Finally, in the end, the Government of Sikkim accepted the revision and instead of ₹820.7 Lakhs as proposed earlier the plan expenditure was reduced to ₹813.30 Lakhs with a drop off of 5% in the building outlays.<sup>82</sup>

While these revisions were being made in the second plan, the main priorities of the second plan was strictly left intact. These revisions were intended mainly for meeting these priorities. Also, in some of the cases the outlays on buildings were further increased. However, there was an attempt made not to include any new buildings.<sup>83</sup> After three years of the start of the second plan, the Planning Commission of India, in consultation with the concerned ministries, sent a team of technical experts to look into and make an assessment of the progress of the Second Plan. The team of experts arrived in Sikkim on April 1964.

Already, the Sikkim Durbar was also requested, as early as in February of the same year, to prepare information on the progress made in each schemes under different heads of the plan, any adjustment or revision to be made by the technical team, difficulties in the implementation of the plan like shortage of material and personal.

The government of Sikkim, through the Planning and Development Department prepared a document, being a comprehensive progress report from 1961-64 with critical reviews and proposals which were placed before the team for discussions. In the second plan, some adjustments were made in some of the departments like power, industry and

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<sup>82</sup> Govt. of India, Second five year plan of Sikkim: Report of the Technical Team (New Delhi: Planning Commission, 1961) preface.

<sup>83</sup> Govt. of India, Second Five Year Plan of Sikkim: Report of the technical team (New Delhi: Planning Commission 1961) p.p.9-11.

mining, agriculture. The changes had to be made because of the various constraints that were experienced during the past years of the plan period which began from 1954, (availability of the key materials and technical personnel, public participation and association in the implementation of the plans and so on.)<sup>84</sup> Data in the following tables will explain these in rupee terms.

**Table 2.2:**

**Initial outlays under the second five-year plan of Sikkim**

| <i>Head of Development</i>                   | Outlays proposed by the government of Sikkim (₹ in Lakhs) | Outlays recommended by the technical team (₹ in Lakhs) | Outlays after 5% cut on buildings (₹ in Lakhs) |
|----------------------------------------------|-----------------------------------------------------------|--------------------------------------------------------|------------------------------------------------|
| <b>I. Agriculture and allied Occupations</b> |                                                           |                                                        |                                                |
| 1. Agriculture                               | 88.50                                                     | 46.20                                                  | 45.56                                          |
| 2. Animal Husbandry                          | 59.61                                                     | 24.90                                                  | 24.00                                          |
| 3. Dairy Development                         | 5.31                                                      | 2.00                                                   | 2.00                                           |
| 4. Minor Irrigation                          | 5.44                                                      | 5.30                                                   | 5.28                                           |
| 5. co-operation                              | 30.03                                                     | 9.30                                                   | 9.14                                           |
| 6. Forests                                   | 81.90                                                     | 70.10                                                  | 69.38                                          |
| 7. Soil Conversation                         | 11.90                                                     | 5.00                                                   | 5.00                                           |
| 8. Fisheries                                 | 1.53                                                      | 0.40                                                   | 0.40                                           |
| <b>Total</b>                                 | <b>284.22</b>                                             | <b>163.20</b>                                          | <b>160.76</b>                                  |

<sup>84</sup> Govt. of India, mid-term appraisal of the second five year plan: Report of the technical team (New Delhi: Planning commission 1964) p.6.

|                                          |        |        |        |
|------------------------------------------|--------|--------|--------|
| <i>II. Power, transport and Industry</i> |        |        |        |
| 1.Power                                  | 165.00 | 50.00  | 50.00  |
| 2.P.W.D (Roads and Bridges)              | 372.00 | 300.00 | 299.85 |
| 3.Road Transport                         | 51.91. | 47.50  | 46.66  |
| 4.Tourism                                | 10.00  | 7.50   | 7.13   |
| 5.Cottage Industry                       | 18.73  | 11.50  | 11.23  |
| 7.other Industries                       | 9.92   | 30.00  | 30.00  |
| Total                                    | 672.56 | 446.50 | 444.89 |

|                                               |         |        |        |
|-----------------------------------------------|---------|--------|--------|
| <i>III. Social Services and Miscellaneous</i> |         |        |        |
| 1.Education                                   | 208.20  | 98.00  | 95.80  |
| 2. Health                                     | 11.60   | 72.00  | 71.40  |
| 3.Housing                                     | 17.50   | 7.00   | 7.00   |
| 4.Press                                       | 5.63    | 6.00   | 5.97   |
| 5.publicity                                   | 5.69    | 4.50   | 4.46   |
| 6.Marketing Centre                            | 5.25    | 2.00   | 1.90   |
| 7.Secretarial Extension                       | 8.50    | 5.00   | 4.75   |
| 8.Community Centre                            | 5.50    | 3.50   | 3.35   |
| 9.Planning Department                         | 9.30    | 11.50  | 11.52  |
| 10.Cultural Activity                          | 1.75    | 1.50   | 1.50   |
| Total                                         | 278.92  | 211.00 | 207.65 |
| Grand Total                                   | 1190.70 | 820.70 | 813.30 |

Sources:1. Govt. of India, *Second Five-Year Plan of Sikkim: Report of the Technical Team* (New Delhi: Planning Commission, 1961), p.20.

2.Govt. of Sikkim, *Second Five Year Plan: 1961-66* (Gangtok Planning and Development Department, 1962), Statement I.



**Table 2.3:****Revised outlays and expenditure Under the Second Plan of Sikkim**

| <i>Head of Development</i>                    | <i>Revised outlay proposed by the Govt. of India ₹ in Lakhs</i> | <i>Final Revised outlay ₹ in Lakhs</i> | <i>Actual Expenditure ₹ in Lakhs</i> |
|-----------------------------------------------|-----------------------------------------------------------------|----------------------------------------|--------------------------------------|
| <b>I. Agriculture and allied Occupations</b>  |                                                                 |                                        |                                      |
| 1. Agriculture                                | 42.75                                                           | 46.2                                   | 28.92                                |
| 2. Animal Husbandry                           | 21.09                                                           | 28.02                                  | 11.79                                |
| 3. Dairy Development                          | 4.10                                                            | 4.20                                   | 2.09                                 |
| 4. Minor Irrigation                           | 3.41                                                            | 3.41                                   | 1.45                                 |
| 5. co-operation                               | 6.28                                                            | 6.28                                   | 3.15                                 |
| 6. Forests                                    | 65.94                                                           | 69.48                                  | 53.79                                |
| 7. Soil Conversation                          | 5.00                                                            | 5.00                                   | 4.56                                 |
| 8. Fisheries                                  | 0.40                                                            | 0.40                                   | 0.26                                 |
| <b>Total</b>                                  | <b>148.97</b>                                                   | <b>163.04</b>                          | <b>106.01</b>                        |
| <b>II. Power, transport and Industry</b>      |                                                                 |                                        |                                      |
| 1. Power                                      | 59.50                                                           | 69.00                                  | 53.05                                |
| 2. Roads                                      | 300.49                                                          | 300.34                                 | 260.84                               |
| 3. Road Transport                             | 45.60                                                           | 48.07                                  | 44.00                                |
| 4. Tourism                                    | 7.50                                                            | 7.50                                   | 5.24                                 |
| 5. Cottage Industry                           | 11.00                                                           | 10.23                                  | 9.35                                 |
| 6. other Industries                           | 27.00                                                           | 20.00                                  | 2.41                                 |
| <b>Total</b>                                  | <b>451.09</b>                                                   | <b>455.14</b>                          | <b>374.89</b>                        |
| <b>III. Social Services and Miscellaneous</b> |                                                                 |                                        |                                      |
| 1. Education                                  | 96.91                                                           | 94.11                                  | 76.82                                |
| 2. Health                                     | 70.42                                                           | 60.74                                  | 42..67                               |
| 3. Housing                                    | 7.00                                                            | 7.00                                   | 6.32                                 |
| 4. Press                                      | 5.97                                                            | 5.97                                   | 4.40                                 |
| 5. publicity                                  | 2.03                                                            | 2.03                                   | 1.40                                 |
| 6. Marketing Centre                           | 2.15                                                            | 2.15                                   | 1.74                                 |
| 7. Secretarial Extension                      | 5.25                                                            | 5.25                                   | 5.25                                 |

|                       |        |        |        |
|-----------------------|--------|--------|--------|
| 8.Community Centre    | 3.50   | 3.50   | 3.06   |
| 9.Planning Department | 11.52  | 12.52  | 12.42  |
| 10.Cultural Activity  | 1.30   | 1.55   | 1.39   |
| Total                 | 205.75 | 194.82 | 155.47 |
| Grand Total           | 805.81 | 813.00 | 636.37 |

Sources: 1. Govt. of Sikkim, *Second Five Year Plan of Sikkim: Progress Report 1961-62: Review of the plan, Proposals for revision of Plan* (Gangtok: Planning and Development Department, 1964), Key Statement.

### **Third Plan (1966-71)**

The third plan pertained to the period 1966-1971. The Durbar proposed ₹1247.79/- Lakh as the total plan expenditure for this plan. The draft of these proposal was sent to Planning Commission of India for their approval. The Government of India, subsequently, sent their team of experts to examine the needs of the proposed plan as well as the finalization of the third plan. Discussions were held between the Government of Sikkim and the Government of India at Gangtok during March of 1966 and at the end it was concluded that the outlay for the third plan would be ₹900. Lakh only. Further it was also agreed that the Indian Government will finance the plan by two different ways: ₹750/- Lakh as grant and the rest by loan amounting to ₹150.00 Lakhs. The area that were to be financed by loans were Medium scale industrial loans, Small scale industrial loans, Sikkim Nationalized Transport, a Bacon factory and forest utilization.

In the third plan there was an outlay of ₹60 Lakhs for tea garden scheme and Indian government proposed that this tea garden scheme should be financed by the loan. However, the Government of Sikkim did not agree to the proposal on the ground that the tea garden project was part of the rehabilitation programme for the Tibetan refugees and as Indian Government took the responsibility of rehabilitating the Tibetan refugees, it was the responsibility of the Government of India to finance the scheme by grant and help the refugees to get employed there. It was said that the Tibetan refugees would be employed in the proposed tea garden as laborers.<sup>85</sup>

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<sup>85</sup> Govt. of Sikkim, *The Third Five Year Plan of Sikkim: Mid Term Proposals and Revised Outlays 1966-71* (Gangtok:Planning and Development Department, 1969)

When we analyze the different plan expenditure of Sikkim it can be noted that the expenditure of the first and the second plans was on the rise continuously in real terms after factoring in the fall in the money value. The expenditure in the first plan was ₹329.69 Lakh, if we see in the second it is ₹636.37 Lakh, while in the third it is ₹971.83. After every plan the rise in expenditure is in high rate. From here we can make sense that economic activities were full-fledged going on in Sikkim since the beginning of the plan period. Another prospect in the plan expenditure that we can observe is plan expenditure was usually less than the proposed plan outlays specially in the plan expenditures of the second and the third plans.

During the first seven year plan the plan outlay was settled at ₹307.21 Lakhs and the total expenditure was ₹323.69 Lakhs. Expenditure was more than outlays in the first plan but since second it was usually less. Second plan had the outlays of ₹813.00 lakh and the plan expenditure were only ₹636.39 Lakh. In the third plan the expenditure was ₹971.83 lakh and the outlays was of ₹1060.39 Lakh. Also, in the plan revision which was done in every plan it was generally less than the proposed estimates; except during the last plan and this was due to the devastating flood of October 1968.<sup>86</sup> The intensity of the flood was such that the damages done, particularly to the roads and bridges, could not be repaired within the existing plan funds. Many plan projects could not be undertaken due to the damages caused to the roads and bridges. So we can justify the huge revised estimation in the third plan because it was necessary to execute the works of repair and consolidation caused by flood of 1968.<sup>87</sup>

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<sup>86</sup> Govt. of Sikkim, The Third Five Year Plan: progress report April, 1969- March 1970 (Gangtok:Planning and development department) p.p.viii-ix.

<sup>87</sup> Ibid

**Table 2.4:****Outlays and Expenditure Under the Third Five-Year Plan**

| <i>Head of Development</i>                        | Outlay<br>proposed<br>by the<br>Govt. of<br>Sikkim ₹ in<br>Lakhs | Initial<br>outlay ₹<br>in Lakhs | Revised<br>outlays ₹<br>in Lakhs | Actual<br>Expenditure<br>₹ in Lakhs |
|---------------------------------------------------|------------------------------------------------------------------|---------------------------------|----------------------------------|-------------------------------------|
| <b>I. Agriculture and allied<br/>Occupations</b>  | 64.00                                                            | 61.41                           | 56.66                            | 48.11                               |
| 1. Agriculture                                    | 36.12                                                            | 35.71                           | 18.43                            | 16.82                               |
| 2. Animal Husbandry                               | 4.16                                                             | 3.00                            | 1.60                             | 0.15                                |
| 3. Dairy Development                              | 11.20                                                            | 11.20                           | 8.00                             | 9.09                                |
| 4. Minor Irrigation                               | 8.50                                                             | 6.50                            | 9.00                             | 17.00                               |
| 5. co-operation                                   | 68.35                                                            | 58.00                           | 48.95                            | 49.76                               |
| 6. Forests                                        | 7.00                                                             | 6.88                            | 7.88                             | 13.25                               |
| 7. Soil Conversation                              |                                                                  |                                 |                                  |                                     |
| <b>Total</b>                                      | 199.33                                                           | 182.70                          | 150.52                           | 154.28                              |
| <b>II. Power, transport and Industry</b>          |                                                                  |                                 |                                  |                                     |
| 1. Power                                          | 125.00                                                           | 28.00                           | 71.99                            | 71.47                               |
| 2. Roads                                          | 338.00                                                           | 236.75                          | 506.38                           | 421.92                              |
| 3. Road Transport                                 | 47.00                                                            | 40.00                           | 35.00                            | 39.92                               |
| 4. Tourism                                        | 4.50                                                             | 1.00                            | 1.00                             | 3.82                                |
| 5. Cottage Industry                               | 7.00                                                             | 7.77                            | 6.57                             | 4.22                                |
| 7. other Industries                               | 260.00                                                           | 160.00                          | 80.00                            | 64.92                               |
| <b>Total</b>                                      | 781.50                                                           | 473.52                          | 700.94                           | 606.27                              |
| <b>III. Social Services and<br/>Miscellaneous</b> | 110.32                                                           | 108.42                          | 71.00                            | 77.25                               |
| 1. Education                                      | 113.74                                                           | 96.13                           | 101.53                           | 90.73                               |
| 2. Health                                         | 5.00                                                             |                                 |                                  |                                     |
| 3. Housing                                        | 4.80                                                             | 2.20                            | 3.00                             | 2.83                                |
| 4. Press                                          | 5.75                                                             | 2.00                            | 1.30                             | 1.78                                |
| 5. publicity                                      | 6.00                                                             | 1.75                            | 1.50                             | 0.79                                |
| 6. Marketing Centre                               | 10.00                                                            | 10.00                           | 13.00                            | 17.06                               |
| 7. Rural Development                              | 11.35                                                            | 12.60                           | 12.60                            | 16.07                               |

|                                     |         |        |         |        |
|-------------------------------------|---------|--------|---------|--------|
| 8.Planning Department<br>9.Training |         | 10.68  | 5.00    | 4.77   |
| Total                               | 266.96  | 243.78 | 208.93  | 211.28 |
| Grand Total                         | 1247.79 | 900.00 | 1060.39 | 971.83 |

Sources:1. Govt. of Sikkim, *The Third Five Year Plan: Draft Proposals, 1966-71*, Vol. I (Gangtok: Planning and Development Department,1965),Statement II.

2. Govt. of Sikkim, *The Third Five Year Plan: Final Draft, 1966-71*, Vol. I (Gangtok: Planning and Development Department,1966), Introduction.

3. Govt. of Sikkim, *The Third Five Year Plan of Sikkim: Mid-Term proposals and revised outlays 1966-71*. (Gangtok: Planning and Development Department., 1969).

- **Some of the different features of economic plans in Sikkim**

Planning in Sikkim was a democratic process. All the three plans in Sikkim were first of all prepared by different departments and then it was passed through Sikkim State Council, a council which was elected by the people though some of the members were nominated by the King. The Sikkim State Council was the representative body of the people so their participation means the participation of the people. And the Chogyal was the final authority to sanction the plans.

It was a centralized planning; Sikkim was a very small kingdom so it became easy for the government to plan its economic plan centrally. Any plans which dealt with the development and growth of the economy can never be isolated from the (central decision making on the fundamental questions. The central decision making basically means the concentration of all the materials and financial resources of the economy at the hands of the state. In Czechoslovakia the way for centralization was opened by the nationalization of the basic branches of the industry, transport banks and trade.<sup>88</sup>

However, in the case of Sikkim there was no need of nationalization because there were only few cottage industries before the beginning of the plan period; also because of the massive financial and technical aid from the government of India enhanced the power of the state on the question of planning. Although Sikkimese planning was democratic but for the preparation of the plans as well as for its execution the work was done from above. One of the reasons for this was the social backwardness of Sikkim and the other reason was the plan was the idea that India gave to Sikkim and it were Indian experts

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<sup>88</sup> United Nations, Planning for the Economic Development (New York: Dept OF economics and social affairs, 1963), p.5

who helped in making of the plans and these experts worked with the rulers in all sense of the term. Sikkim's plan was also not comprehensive plan in the sense it was not completely capitalistic or socialistic rather it was a mixed economy like that of India.

On all accounts the economic plans of Sikkim were similar to that of Indian planning. And the reason for this was Sikkim's political affinity with India. India and Sikkim had friendly relations with each other thanks to the Treaty of 1950<sup>89</sup>; its geographical proximity with the Indian union as also there was a direct participation of India in preparation and execution of the plans in Sikkim. And the most important reason among everything else was India was the only financial source to execute the economic plans in Sikkim. It was India even to determine the timing of the economic plans of Sikkim, when Sikkim started its first plan it was the fourth running year of the India's first Five Year plan so in order to proposedly to coincide the timing of Sikkim's second plan with the third five year plan of India we can believe Sikkim's first plan was made up of seven years.

The Maharaja of Sikkim, Sir Tashi Namgyal himself encouraged the role of people's participation in the economic plans of Sikkim. A plan which is capable of ensuring development and improving the lives of the people depends heavily on how much the people are involved directly or indirectly affected by the plans. For this the message of Maharaja Sir Tashi Namgyal while launching of the plan is worth mentioning.

It gives me great pleasure to introduce the Sikkim development plan to the people of my state.

Its effective implementation will depend primarily on the support and cooperation of every

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<sup>89</sup> Indo-Sikkim Treaty 05-12-1950, Article X, *talks about friendly relation between two countries.*



single person of the state. This support and cooperation will, I know be forthcoming, unstintingly, from all my people.<sup>90</sup>

Any type of plans or policies will not be successful in any country until and unless it is highly supported by the people in general. Indeed, the success of the economic plans specially in the developing and the underdeveloped countries is closely linked with the eagerness with which the people respond to the programme of economic development. The response is likely to come soon if the people feel that the plans are fitting to their needs. The situation of Sikkim, as perceived by the Planning Commission of India, with regard to this is worth mentioning:

The response of the people in the form of free land and labor, cash donations etc. was forthcoming (during the first plan) in respect of construction of schools, dispensaries, village, roads, health campaigns etc. publicity work is however lagging behind. It is felt that if suitable steps are taken for adequate publicity of the plan, it may be possible to elicit more of public participation and association in the implementation of the second plan.<sup>91</sup>

It may be noted with regard to peoples' participation in making the economic plan a success, and also the same is equally necessary for arousing interest for the demands of different needs that people require.

The draft second plans say:

as a result of the various welfare activities undertaken during the first plan period, the people have become conscious of their self needs and as such there is a great demand for intensification of the development programmes.<sup>92</sup>

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<sup>90</sup> Govt. of Sikkim, Sikkim Development plan (Sikkim Durbar press Gangtok, 1955), Introduction.

<sup>91</sup> Govt. of India, mid-term appraisal of the second five year plan: Report of the technical team (New Delhi:planning commission 1964).

<sup>92</sup> Govt. of Sikkim, second Development Plan (A five Year Plan 1961-62---1965-66), Unpublished Draft, Part 1, 1960.p.3. Sikkim State Archives

It must be remembered that the peoples' readiness to accept the plans for economic development is much more important than the technical expertise and the excellence shown in the different plans, whatever it may be. The technical expertise and excellence shown up while drawing the plans, alone cannot lead to the success of the plan. People participation is an essential condition for the economic development and the growth and progress of the society.

One of the questions that is being dealt with in this research is as to how far did the economic plans fit into the social fabric of the country. This is one of the important question which historians must deal because the endeavor to raise the per capita income or to accomplish other type of development should not understate or do away with the social and cultural inheritance of the society.

However, the refusal to take steps for the development of society for the reason that it can harm the social and cultural fabric of the society is not so right. The more backward the society the more rapid must be the rate of development. No doubt there will be some sort of cultural shock in the process of economic development but if this problem arises it's the duty of the government to see its people are able to adjust and adapt to such environment. For this it will be appropriate to quote Gunnar Myrdal:

Advice not to hurry economic change has, therefore, to be rejected. The anthropologists are right however in saying that the cultural and social effect of economic change maybe disastrous and that further these effects may also soon frustrate economic development. They are then assuming however; these effects are left to take care of themselves.

If the political necessity of rapid economic development is assumed, the obvious conclusion is the opposite that the cultural and social changes have to be planned and controlled; to a certain extent they may even to be induced.<sup>93</sup>

Besides the fear of cultural shock is not so real as it is generally thought to be. It has been seen that as a society develops with more communication facilities, monetization of the economy etc. not only higher level of economic prosperity is noticed but one also finds a desire for change and willingness to adjust to the changing socio economic conditions on the part of the people.<sup>94</sup>

However, the cultural and social fabric of the society must be taken special care whenever such new thing like economic plans are being executed in a country. This will definitely reduce tension if any. As far as Sikkim is concerned the people accepted the plans and cooperated with it for its execution. The problem of cultural shock and tension was not so much felt in the case of Sikkim.

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<sup>93</sup> G. Myrdal, *International economy: problem and prospects* (London:Routledge and Kegan Paul, Ltd., 1959)p.79

<sup>94</sup> National council of applied economic research, *socio economic conditions of primitive tribes of Madhya Pradesh* (New Delhi:1963),p.xii.

## Chapter 2:

### Economic Transition of Sikkim

While we have seen the context in which the concept of planned economy was set in motion in Sikkim and the contours of the three Plans thereafter in the previous chapter, this chapter will deal with division of the economy into different sectors like industries, transport, power, education, health, drinking water, forest and agriculture and the difficulties that came while executing the plans and the experience therein.

In the case of Sikkim, the sectoral division of economy comes into conflict with the theoretical idea of division of the economy into different sectors (as done elsewhere in India) and this was because of Sikkim being an underdeveloped region as much as it was a different country in the sense Sikkim was not another state in the Indian Union. The three-sector model in economics, elsewhere, divides economies into three sectors of activity: extraction of raw materials (primary), manufacturing (secondary), and service industries which exist to facilitate the transport, distribution and sale of goods produced in the secondary sector (tertiary).<sup>95</sup> The model was developed by Allan Fisher,<sup>96, 97, 98</sup> Colin Clark,<sup>99</sup> and Jean Fourastie,<sup>100</sup> in the first half of the 20th century, and is specially a representation of an industrial economy. With regard to this, the division of economy done by A.G.B. Fisher, the primary sector is characterized to

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<sup>95</sup> Kjeldsen-Kragh, Soren (2007). *The Role of Agriculture in Economic Development: The Lessons of History*. Copenhagen Business School Press DK. p. 73.

<sup>96</sup> Fisher, Allan G. B. (1935). *The Clash of Progress and Security*. London: Macmillan. Retrieved 2022-01-03..

<sup>97</sup> Fisher, Allan G. B. (1939). "*Production, primary, secondary and tertiary*". *Economic Record*. 15 (1): 24–38.

<sup>98</sup> Fisher, Allan G. B. (1946). *Economic Progress and Social Security*. London: Macmillan. Retrieved 2022-01-03.

<sup>99</sup> Colin Clark (1940). *The Conditions of Economic Progress*. London: Macmillan. Retrieved. 2022-01-03

<sup>100</sup> Fourastié, Jean (1949). *Le grand espoir du XXe siècle: Progrès technique, progrès économique, progrès social*. Paris: Presses universitaires de France.

include agriculture and allied activities, the secondary sector comprises of manufacturing, generally mining and construction, and the tertiary sector comprise of transport and communication, trade, government, personal and domestic services etc...<sup>101</sup>

In relation to Sikkim, which was backward and underdeveloped, transport and communication should be included in the secondary sector. The difficult and hilly terrain of Sikkim needs transport and communication as a basic requirement for the growth and development of the economy, which may not be the case of other countries; but in Sikkim this was a necessary condition. And this is clearly evident from the fact that the share of funds on roads and roads transport did not change in the plan period and remained constant and high in the plan period as seen in the data available in the previous chapter (Tables 2.1, 2.2 and 2.3).

Hence, it makes sense, from the concerns of this chapter, to deal with the aspect of transport in Sikkim at the outset.

- **Roads and Transport**

Transport is a cardinal part of economic life in any hilly region and hence it must be given greatest importance in any economic plan which aims for overall development of the country. Without a proper transport system none of the schemes for development can be undertaken. Almost half of the funds in the first seven-year plan (as evident from Table 2.1) was allocated for road and transport; this remained the case with the second and the third plan as well. The necessity of transport in Sikkim and the difficulties that

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<sup>101</sup> Fisher, Allan G.B., “Primary, Secondary and Tertiary production”, *Economic Record*, June, 1939, pp.24-38

arose while making the roads in the hilly terrain of Sikkim cannot be neglected. It is really a daring accomplishment to construct roads and bridges across towering mountains and fast flowing rivers of Sikkim. Also, during prolonged monsoons, because of heavy rains, communications were disrupted leading to disturbances not only for construction of the roads but also for supplying food to the workers employed in making of the roads.

In Sikkim for the construction of roads, manual laborers were used more than the machines because in hills heavy machines for construction cannot be transported easily; so the manual workers were used excessively more as compared to what is used in the plains and this was also one reason why the cost of *Roads and Transport* in every budget was high in Sikkim.

It was necessary to deal with the logistical importance of the highway that connects Gangtok with Siliguri, which runs a distance of 114 kilometers. Sikkim, without a railroad connectivity during this period was connected to the mainland only by this road. This is the highway through which the whole Sikkim survives; along this highway comes the food and goods that Sikkim needs to survive. All the materials, aid and capital that Sikkim needs for development and to sustain her economy comes through this way. Tourism, though seasonal and an important source of economic activity in Sikkim too is entirely dependent on this road. The main items of exports from Sikkim i.e. alcoholic beverages, fruits especially oranges, handicrafts, and the cash crops like cardamom, ginger, passes through this highway, and this is the only way for the goods

to get into different Indian markets. Indeed, more than 95% of trade and commerce of Sikkim is conducted through this vital road.<sup>102</sup>

For the study of Roads and Transport let us begin with the construction of Roads and Bridges. There was little development in this field until British made this region their political dominion. The interest of the British to develop roads and bridges in Sikkim is evident from the heavy expenditure that was made for the maintenance and construction of roads in Sikkim. This is evident from Hunter's Gazetteer, which states:

Goods roads which were properly and thoroughly bridged have been opened since 1889 from Pedong in British territory to the Jalepla and to Tumlong, and in 1903-04 the state had 376 miles of roads, a cart road has been recently constructed from Rongpo to Gangtok from imperial funds, and a mule track on a gradient of 1 in 15 has been made from Gangtok to Chumbi valley via Nathula, iron bridges has been constructed across the Tista, the Rangit and other rivers.<sup>103</sup>

For the first time, wheeled vehicles passed through the road from Siliguri to Gangtok in the year 1906 and since then regular vehicle movement has been taking place between the two towns.<sup>104</sup> However, there was little expansion of the roads after this time (1906) till the beginning of the first plan period, that is 1954. During the plan period considerable expansion took place in the field of construction of the roads and bridges.<sup>105</sup> However, most of the work of road construction took place during the first two plans only and almost nothing new was added in the third plan and this was because of devastating flood of 1968; making of new roads were rendered impossible and the

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<sup>102</sup> P.P. Karan and W.M. Jenkins, *The Himalayan Kingdoms: Bhutan, Sikkim and Nepal* (New York: Van Nostrand co. 1963) p.73.

<sup>103</sup> Hunter H.H, *The Imperial Gazetteer of India*, (Oxford, Clarendon Press, 1908).  
Coelho, V.H, *Sikkim and Bhutan* (New Delhi: Vikas Publications, 1971), p.23

<sup>104</sup> Dattaray, S.k, *Smash and Grab, annexation of Sikkim* (Chennai, Tranuebar Press, 2013)

time for this work had to be devoted only for the repair of the existing roads and bridges. This is evident from the document, *Sikkim Through Figures*, Government of Sikkim published by Planning and development department, in the year 1969; we can see that there is no information regarding construction of roads in the third plan. It only gives information and data about the construction of roads during the first two plans only. The work of repairing continued even up to the Fourth Five Year plan and the first year of the fourth plan was entirely devoted for it. Hence my work will confine to the study of the development of *Roads, Bridges and transport* during the first two plans only.

For as much as importance of road transport in Sikkim is, ample amount of importance was given for the development of roads and bridges during the first two plan period. In the first seven-year plan 300 miles of roads were added to the existing road that Sikkim had.<sup>106</sup> During the first plan period the Government of Sikkim spent ₹139.01 Lakhs for the construction of roads and bridges. However, the actual allocation of the funds for the same was only ₹131.63 Lakhs. (as seen from data in Table 2.1 in chapter II), Table 2.1 *outlays and expenditures under the first seven year plan of Sikkim*<sup>107</sup>

During the second Five Year plan there was a further addition of 325 miles of roads.<sup>108</sup> The allocation of funds for roads and bridges was ₹300 Lakhs and the actual cost for its execution was only ₹ 261 Lakhs this time.<sup>109</sup> Here it is important to notice that the tremendous rise in allocation and expenditure of funds in roads and bridges signifies the importance given to transport in the planned economy.

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<sup>106</sup> Govt. of Sikkim, *Seven Years of Progress: 1954-61* (Gangtok: Sikkim Durbar Press, 1962)

<sup>107</sup> Govt. of Sikkim, *Sikkim Development Plan* (Gangtok: Sikkim Durbar Press, 1955), p.39

<sup>108</sup> Govt. of Sikkim, *Second Five Year Plan of Sikkim: Progress report 1961-62: Review of the plan*, (Gangtok Planning and Development department, 1964)

<sup>109</sup> Govt. of Sikkim, *Second Five Year Plan of Sikkim: Progress report 1961-62: Review of the plan*, (Gangtok Planning and Development department, 1964), key statement.



Among the important roads constructed during the first Seven Year plan-- *Namgyal Highway*, a road from Melli Naya Bazaar to Legship covering a distance of 33 miles and road between Singtam and Makha covering the distance of 10 miles. Namgyal Highway was an important highway as it served as a gateway to western Sikkim and the Singtam-Makha highway later served as the gateway to enter North Sikkim via Dikchu. Further, by the end of 1961, it was decided to construct an alternative highway from Rongpo (Indo-Sikkim Border) to Gangtok; this was after the highway between Rongpo to Gangtok via Singtam was destroyed and even cut off for more than a week during heavy and prolonged monsoon of Sikkim. So, because of this reason there was a need of an alternative highway between Rongpo to Gangtok. The construction was completed during the second plan and this alternative highway came via Pakyong and this highway is still functional.

There were two other important roads constructed during this period and this was not done out of the funds of the plans but was entirely funded by the Indian Government. Those highways were *The North Sikkim Highway* and *The Nathula Highway*; during the first seven year plan no road was constructed in the northern district of the country. *The North Sikkim Highway* served as the gateway to North Sikkim from Gangtok. This highway linked Gangtok with Chungthang, and further from Chungthang two roads diverged one linking Chungthang to Lachen and the other linked Chungthang with Lachung and the Yumthang Valley. *The Nathula Highway*, linked Gangtok to Nathula in East Sikkim; this road was strategically important from the defence point of view. The Nathula Pass was a border post separating China and Sikkim. So, this highway linking border post of China was important from military aspect.<sup>110</sup>

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<sup>110</sup> Govt. of India, *Progress Through Partnership*. pp 17-28 (Sikkim State Archives, Gangtok).

### **Bridle Roads or Mule Tracks**

At the time of the beginning of the first plan there is evidence of 215 miles of mule tracks or bridle roads.<sup>111</sup> During the first plan period 1954-61, 50 miles of these mule cart road was upgraded into 42 miles of motorable roads and 12 miles of Jeepable roads. Also within this mule track *Dikchu Sangklang* a road of 12 miles were developed.<sup>112</sup>

### **Village Sadak or Footpaths**

Sikkim was a scattered and sparsely populated country; in such a settlement where one house is built a distance away from the other, it is not possible to take and reach motorable road to every household. So, in such type of settlements, village sadak or footpaths are necessary and is important. Such narrow walkways and alleys are an important line of communication even today in the villages of Sikkim. During the first seven-year plan, 138 miles of such footpaths were added, among this, 40 miles were added in North Sikkim, 45 in the East and 53 miles in West Sikkim.<sup>113</sup> Often the construction and development of village sadak or the footpaths was taken up as joint enterprise by the government and the people.

Another scheme of the plan period which is worth mentioning is the provision for feeder roads. In Sikkim many bazars were isolated from the main road as people organized harts and bazars in the open space away from the main road.<sup>114</sup> Examples of such bazars were Makha, Kewzing, Mangan, Dikchu, Soreng and Rhenock. During the second five

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<sup>111</sup> Government of Sikkim, *Second Five Year Plan:1961-66. Schemes in the Second Five Year Plan* (Gangtok Planning and Development Department 1962).

<sup>112</sup> Govt. of Sikkim, *Second Five Year Plan:1961-66* (Gangtok) p.63.

<sup>113</sup> Govt. of Sikkim, *Seven Years of Progress: 1954-61* (Gangtok, Sikkim Durbar Press,1962)P.21.

<sup>114</sup> Govt. of Sikkim, *The Second Five-Year Plan of Sikkim: Progress report of the period, April 1961-February 1966, part I* (Gangtok Planning and Development Department) p.21.

year plan the government undertook to construct two feeder roads to the Kangan and Kewzing bazars.<sup>115</sup>

To talk about construction of bridges very few of them were constructed during the First Plan period due to the dearth of funds.<sup>116</sup> The few such bridges constructed during the First Plan are one suspension bridge at Dikchu, one at Sangklang, one wooden bridge and four log bridges in some other places. During the second Five Year Plan, bridges were operational in Legship, Rothak, Pabung, Hee, Dentam, Kalej and Ranikhola. The Pt. Jawaharlal Nehru bridge at Melli was built under the second five year plan.<sup>117</sup>

### **Road Transport.**

The Government of Sikkim introduced road transport as early as in 1944, a decade before the start of the Plan process in 1954. In the beginning, there were ten trucks which were obtained from the Defense Ministry of the Government of India; in addition to this, the Government of Sikkim also obtained a loan to the tune of ₹1.40 Lakhs from the rationing department<sup>118</sup>. For this, the Maharajkumar of Sikkim organized a department which was known as the *Truck Department* of Government of Sikkim. A workshop to repair the vehicles was also established at the palace compound with a dedicated team of trained mechanics. The Truck department was entrusted with the duties for the transportation of controlled and rationed commodities.<sup>119</sup> The Truck Department of Government of Sikkim was redesigned as *The Sikkim State Transport*

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<sup>115</sup> Ibid.

<sup>116</sup> Govt. of Sikkim, *Second Five Year Plan: 1961-66. Schemes in the second five year plan* (Gangtok Planning and Development Department, 1962), p64.

<sup>117</sup> Govt. of Sikkim, *The Second Five-Year Plan of Sikkim: Progress report of the period, April 1961-February 1966, part I* (Gangtok Planning and Development Department) p.21.

<sup>118</sup> *The Process of Planned Development: Sikkim Herald*, May 27, 1972, p.1

<sup>119</sup> Ibid.

Service in 1952.<sup>120</sup> In the eight years of its service from 1944- 1952, the Truck Department made a gross earning of ₹ 18,71,124.<sup>121</sup>

A ten seater bus service was started between Gangtok and Siliguri from 1952 and two petrol filling stations were established, one each at Rangpo and the Namgyal Highway. The year 1954 brought the beginning of what was called as planned period and ushered an era of planning in the kingdom with a separate plan head for the development of roads and transport in the kingdom. During the ten years from 1944 to 1954 *The State Transport Department* earned a gross revenue of somewhat more than ₹49.53 Lakhs.<sup>122</sup> Since 1954, with the advent of the first plan, the *Transport Department* was funded with an outlay of ₹16.70 Lakhs. In the first year of this plan period, diesel operated trucks were introduced in the kingdom and this proved to be helpful as diesel trucks were wholly suitable in consideration with the nature of Sikkim and the needs of transport services of the people. So, a radical resolution was passed in the year 1955 by which the entire fleet of vehicle in the kingdom, operated with petrol hitherto were replaced by diesel operated vehicles. The greatest advantage of this move was a fall in the operational costs of the trucks as the cost of Diesel was far lower as compared to that of petrol.<sup>123</sup>

During the first Seven Year plan, certain other developments also took place. Passenger vehicle service was started from Gangtok to Darjeeling. The popular folklore around the land rovers' jeep in Nepali literature and music can be related to this era. There was a Memorandum of Understanding between the Government of Sikkim and the

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<sup>120</sup> Harnett, L.H, "A review of Nationalized Road Transport in Sikkim (1944-1969), *Silver Jubilee*, A publication of Sikkim Nationalized Transport, 1969.

<sup>121</sup> Ibid

<sup>122</sup> Ibid.

<sup>123</sup> "Nationalized Transport," *The Statesman* (Calcutta), June 2, 1960, p. IV.

Government of West Bengal to obtain the permit which enables the vehicular movement between Gangtok and Darjeeling. The permit was obtained which enabled the Sikkim State Transport Service to use certain routes in North Bengal which were vital for the smooth functioning of Sikkim's economy. Already in the very first year of the seven year plan certain state transport service offices were started at Rongpo.<sup>124</sup>

With the growing numbers of vehicle and the damages and impairments that the vehicle suffers due to operation, specially in the severe stress and strains of the hills, the Transport Department had to improve and expand the garage workshop apparatus considerably. The Central Motor Workshop of Gangtok was expanded and new facilities were added to it.<sup>125</sup> The garage was equipped with all types of modern tools, equipment and machines which is required for minor as well as major repairing works of all kinds of vehicles that were operational in Sikkim. The local people who received training in automobile engineering and motor mechanics in India were employed in the workshop.<sup>126</sup>

In the year 1955, the road that connected Rongpo and Rongli was nationalized.<sup>127</sup> This year also brought another important change being the change in the name; *Sikkim State Transport Service* was changed as *Sikkim Nationalized Transport* and this department was made the permanent department of the Government of Sikkim. The Sikkim Nationalized Transport provided economical transport services for goods and passengers. The Sikkim Nationalized Transport also became one of the largest source of revenue generation for government of Sikkim. The total gross earning of the

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<sup>124</sup> Ibid.

<sup>125</sup> Harnett, L.H, "A review of Nationalized Road Transport in Sikkim (1944-1969), Silver Jubilee, a publication of Sikkim Nationalized Transport, 1969

<sup>126</sup> Ibid.

<sup>127</sup> Ibid.

department during the first seven year plan was ₹1,43,62,003/- with a net profit of ₹52,17,347.<sup>128</sup>

In the second five year plan, an allocation of ₹ 48.7 Lakh was provided to Sikkim Nationalized Transport by the Planning and Development Department.<sup>129</sup> During this plan, attention was given to six specific works. Petrol driven vehicles were replaced with more diesel driven vehicles. A 35 seater bus service was started from Gangtok to North Sikkim, the Namgyal Highway and also in Namchi-Jorethang road was built. Additional vehicles were provided to all the roads to meet the demands of increasing passenger demand and to solve the problem of overcrowding in the existing vehicles, both passenger as well as freight. More numbers of motor vehicle workshops, machinery and equipment was added and a training center to train the people in automobile works was set up.<sup>130</sup> Many booking offices were started in different parts of Sikkim, waiting rooms, waiting sheds in different stoppages were built, staff quarters were built at Gangtok, Mangan, Namchi, Rongpo, Singtam, Melli, Jorethang, and Legship. A Petrol filling station was built at Jorethang and one for Diesel filling it was built at Rongpo.<sup>131</sup>

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<sup>128</sup> Ibid.

<sup>129</sup> See Ch.2, Table III, Revised outlays and expenditure under the second five year plan of Sikkim.

<sup>130</sup> Govt. of India, *Mid Term Appraisal of the Second Five Year Plan of Sikkim: Report of the technical team* (New Delhi: Planning Commission, 1964), p.62.

<sup>131</sup> Ibid

**Table 3.1**

**Routes, Distance and Number of vehicles which were operated during Second Five Year Plan**

| <i>Year</i> | <i>Route</i>                                                                                                                                                                                                                                                                       | <i>Distance<br/>in Miles</i>                           | <i>Number<br/>of<br/>Vehicles</i> |
|-------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------|-----------------------------------|
| 1961-62     | 1. Gangtok-Singtam –Rongpo<br>2. Rongpo – Melli – Siliguri<br>3. Gangtok – Tista – Kalimpong<br>4. Gangtok – Tista – Darjeeling<br>5. Melli – Nayabazaar<br>6. Nayabazaar – Reshi<br>7. Gangtok - Nathula                                                                          | 25<br>46<br>50<br>62<br>17<br>10<br>37                 | 66                                |
| 1962-63     | 1. Gangtok-Singtam –Rongpo<br>2. Rongpo – Melli – Siliguri<br>3. Gangtok – Tista – Kalimpong<br>4. Gangtok – Tista – Darjeeling<br>5. Melli – Nayabazaar<br>6. Nayabazaar – Reshi<br>7. Gangtok - Nathula<br>8. Reshi – Legship<br>9. Nayabazaar – Sombaria<br>10. Singtam - Makha | 25<br>46<br>50<br>62<br>17<br>10<br>37<br>6<br>17<br>9 | 94                                |
| 1963-64     | 1. Gangtok-Singtam –Rongpo<br>2. Rongpo – Melli – Siliguri<br>3. Gangtok – Tista – Kalimpong<br>4. Gangtok – Tista – Darjeeling<br>5. Melli – Nayabazaar<br>6. Nayabazaar – Reshi<br>7. Gangtok - Nathula<br>8. Legship – Gyalzing<br>9. Nayabazaar – Namchi                       | 25<br>46<br>50<br>62<br>17<br>10<br>37<br>11<br>12     | 100                               |
| 1964-65     | 1. Gangtok-Singtam –Rongpo                                                                                                                                                                                                                                                         | 25                                                     |                                   |

|         |                                 |    |     |
|---------|---------------------------------|----|-----|
|         | 2. Rongpo – Melli – Siliguri    | 46 | 109 |
|         | 3. Gangtok – Tista – Kalimpong  | 50 |     |
|         | 4. Gangtok – Tista – Darjeeling | 62 |     |
|         | 5. Melli – Nayabazaar           | 17 |     |
|         | 6. Nayabazaar – Reshi           | 10 |     |
|         | 7. Gangtok – Nathula            | 37 |     |
|         | 8. Melli – Manpur - Namchi      | 23 |     |
| 1965-66 | 1. Gangtok-Singtam –Rongpo      | 25 | 129 |
|         | 2. Rongpo – Melli – Siliguri    | 46 |     |
|         | 3. Gangtok – Tista – Kalimpong  | 50 |     |
|         | 4. Gangtok – Tista – Darjeeling | 62 |     |
|         | 5. Melli – Nayabazaar           | 17 |     |
|         | 6. Nayabazaar – Reshi           | 10 |     |
|         | 7. Gangtok – Nathula            | 37 |     |
|         | 8. Gangtok - Mangan             | 45 |     |

Source: Govt. of Sikkim, *Sikkim Through Figures* (Gangtok: Planning and Development Department, 1969), p.30.

The above table explains that there has been a growing trend in the number of passenger vehicle services since the beginning of the second five-year plan. It is evident that, this trend had started since the very beginning of the plan period, which is the indicator of growing need of transport service in the kingdom. The growing need of transportation service indicates the growth of commercial activities in the country as the ease of import and exports depends basically upon proper transportation service. It also indicates the development of the kingdom in the social and the economic sense because with the development of the region the transportation system also develops.



- **Forest and Agriculture.**

Sikkim falls in the eastern Himalayas and is in the north eastern side of India; basically Sikkim falls in the temperate zone. There are wide variety of latitudinal range of altitudes and because of this we can see great varieties of climatic variations in Sikkim ranging from tropical and sub-tropical in the south to alpine forests in the north. This variation in latitudinal ranges, altitude, climate and rainfall accounts for a great variety of flora and fauna of rhododendrons, butterflies, orchids, etc. I have here just named the three significant gifts that nature has bestowed upon Sikkim. Sikkim has the largest recorded forest land area covering 82.31% of its geographical area. Reserve Forests, Khasmal and Gorucharan are the three categories of forests in the State. Khasmal forest is forest land settled and set aside by the Government for meeting the bonafide domestic need of timber, firewood and fodder of the residents of adjoining villages. The ecosystem services provided by the forest are indispensable. People earn their livelihood from the forests. It provides food, water, shelter, air, non-timber forest produce, minerals, building materials, carbon sequestration, heat control, environment pollution abetment and what not.<sup>132</sup>

Sikkim is bestowed with majestic mountains, beautiful hills and valleys, crystal clear water falls, springs and lakes, rivers and streams, steep and undulating terrains, snow clad mountains, low lying land ranging from altitude of 310 m (Jorethang) to 8586m (Mount Khangchendzonga) above MSL. Forest land is interspersed with varied forms of flora and fauna. The state lies in the Eastern Himalayas which is a biodiversity hotspot. Forests in Sikkim harbor a host of endemic flora, rare and endangered species

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<sup>132</sup> <https://sikkim.gov.in/departments/forest-environment-and-wildlife-department> Retrieved 2022 January 06.

of plants and animals, high value medicinal plants etc. Sikkim is a botanist's paradise. There are mainly five forest types in Sikkim namely Sub Tropical, Moist Mixed Deciduous, Wet Temperate, Conifer and Sub-Alpine forest.<sup>133)</sup>

As M.M Rasaily, who was the conservator of forests in Sikkim, wrote in *Sikkim Herald* newspaper of May, 29 '1970 about the division of Sikkim forest into five zones:

|      |                     |                                |
|------|---------------------|--------------------------------|
| i.   | Low hill forest     | 700' – 3,000'                  |
| ii.  | Middle hill forest  | 3,500' – 5,500'                |
| iii. | Upper hill forest   | 7,000' – 9,500'                |
| iv.  | Conifer forest      | 8,000' – 10,000'               |
| v.   | Rhododendron forest | 9,000 – 11,500' <sup>134</sup> |

The other classification of the forest areas under.

|      |                             |                                 |
|------|-----------------------------|---------------------------------|
| i.   | Reserve Forests -----       | 572.68 Sq. Miles                |
| ii.  | Private Estate Forests----- | 125.00 Sq. Miles.               |
| iii. | Khasmahal-----              | 39.62 Sq. Miles                 |
| iv.  | Gorucharan Forest-----      | 10.70 Sq. Miles. <sup>135</sup> |

There was a forest manual book which contained rules and regulations for the use of forest and forest products. As per that manual book no rights and permission were given to the people over reserved forest. For the Private Estate forests the owners or the landlords had the right over it and accordingly landlords gave some rights to their tenants. For the Khasmahals forest people were given right to obtain timber and firewood provided they obtained a permission from the forest department in the first

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<sup>133</sup> Ibid.

<sup>134</sup> M.M Rasaily, *Sikkim: Its Flora and Fauna*, Part I, *Sikkim Herald*, 29/05/1970.

<sup>135</sup> Ibid

place. In Gorucharan people had the right to graze their cattle and collect fodder or deadwoods.<sup>136</sup>

For the first time, consolidation of the forest lands began in the beginning of the twentieth century; the Department of Forests was established under Chogyal Sidkeong Tulku, who is said to have demarcated the forest area for the first time. Then the major role played by the forest department was the policing and protecting the natural resources of the kingdom, and little attention was paid for the development of those resources in a planned and scientific manner.<sup>137</sup> An idea like organized forest administration directly under the state began only in the year 1950, and a year after then the Deputy Conservator of Forest K.C. Ray Chaudhari prepared a working plan. And this may be regarded as the first conscious effort for the development of forests in Sikkim.<sup>138</sup>

A comprehensive plan for the development of Forest was started during the start of the plan period in Sikkim i.e. 1954. Some of the initiatives taken by the forest department during the first Seven Year plan were as under;

1. Reorganizing the forest department.
2. Programme for afforestation and soil conservation.
3. Opening up of forest area in north Sikkim and from there the programme of floating of timber was started.
4. Cultivation of medicinal plants.

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<sup>136</sup> Govt. of Sikkim, *Second Five Year Plan, 1961-66*. P.3

<sup>137</sup> "The Process of Planned Development: Forests", *Sikkim Herald*, May, 1972. P.1

<sup>138</sup> *ibid*

A sum of ₹22.58 lakh was spent under the *Forest* head during the first plan.<sup>139</sup>

To meet the need of building different infrastructures in Sikkim it was necessary for the government to exploit different forest resources. For this reason, the forest department was reorganized during the first plan period. Three forest divisions were created and an officer designated as *Conservator of Forest* was appointed. The forest headquarters for South and West Sikkim was established at Temi and the headquarter for North and East Sikkim was established at Gangtok. This came under the *Forest Division* which was supervised by the *Divisional Forest Officer*, there were three Divisional Forest Officers in total.

### **Programme for Afforestation and Soil Conservation**

Major parts of Sikkim are a catchment area of two major rivers of Sikkim i.e. Tista and Rangit. Sikkim also receives heavy rainfall during the prolonged monsoon season. And because of these two reasons it causes flashfloods, too much of soil erosion and landslides. During the First plan a *Soil Conservation* scheme was started and it was to be steered from an office with its headquarter at Gangtok which took up soil conservation work all over the state. The purpose of this scheme was simple, to prevent excessive soil erosion, siltation and landslides which are the common happenings in Sikkim during monsoon. And this, apart from damaging the highways and bridges were a hindrance to the development of agriculture in the kingdom. Afforestation and soil conservation programmes covered around 3000 acres of land, which was taken up especially along the side of highways apart from the interior areas.

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<sup>139</sup> See chapter 1, *Table No. 1*.

Nurseries for plantation and afforestation were started in different parts of Sikkim. Two *Saal* forests were established at Sang and Melli; together they covered around 80 acres of land. Demarcation of forest boundaries were extended all over Sikkim where there was forest cover to prevent from encroachment.<sup>140</sup> The forest department during the first plan built up several miles of roads, and forest footpaths, employee quarters, go downs, and inspection huts. During the First Seven Year Plan itself the Government of Sikkim sent 24 trainees to India to get trained in Forest Service. These trainees were sent to Dehradun and Kurseong for the training.<sup>141</sup>

**Floating of Timber**, was a scheme initiated in the year 1955 but the expected result could not be achieved.<sup>142</sup> In the year 1955 from the pile of the floating timber from the stock of 36,000 it is said 26000 was lost which resulted in an enormous loss to the Indian timber contractor. And further also this initiative was never successful. In 1959 and in the early 1960 a total number of 1,10,000 cubic feet of timber was sold to Sikkimese contractors.<sup>143</sup> But in this venture too the result was losses of the total of 1,10,000 cubic feet of timber floated in two different consignments only 24,000 cubic feet could be collected later and the rest of 86,000 cubic feet was lost somewhere on the way. Due to all these losses the saw mill which was established at Rongpo under the plan could not be functional properly.

This mill was run up by the Department of Forests and was used to supply *Packaging Canewood* to the Fruit Preservative Factory and Distillery which was located near Rongpo. Due to the shortage of timber the mill could not function meeting the

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<sup>140</sup> Govt. of Sikkim, *Seven Years of Progress: 1954-61* (Gangtok: Sikkim Durbar Press, 1962), p.10

<sup>141</sup> Ibid.

<sup>142</sup> Planning and Development Department, *Periodical Report from State Public Works Department Development Regarding the Schemes in the Plan 1954-55*. (Sikkim State Archives)

<sup>143</sup> *The statesman* (Calcutta), June 2, 1960, "Sikkim: A Statesman Supplement," p.III.

requirement of the two factories and ultimately the mill had to be closed.<sup>144</sup> The scheme ‘floating of timber’ was a big failure and there was a suggestion from the *Second Technical Team*, that this is suspended during the monsoon when the Teesta is flooded. It was found that most of the timbers gets broken and fragmented into pieces and gets lost in the process of floating and at the end only a small number from the total timbers set afloat could be collected; so to avoid this great loss *the Second Technical Team* suggested to do away with this scheme.<sup>145</sup>

**Cultivation of Medicinal Plants Scheme:** Botanists are of the opinion that Sikkim has a great potential for producing medicinal herbs. This potential was perceived during the First Seven Year Plan. Medicinal Plants like *ipecac*, *Rouwoulfia Serpentina* and *Lycopodium* were grown in large scale. In Sikkim these plants actually grow naturally and attempts were made to collect them and grow in large scale and also produce improved varieties of it.

During the Second Five Year Plan the programme, under Forest Department, which was started during the First Plan was continued and further strengthened excluding the programme of floating of timbers. Special emphasis was given to afforestation, soil conservation, and the development of medicinal plants. During the First Plan the revenue earned under the head *Forest* was ₹17 Lakhs and during the Second Plan the *Forest Department* aimed at earning ₹49 Lakhs. Grazing was one of the main problems that came in the way of the implementation of forest programs. Plantation was

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<sup>144</sup> Ibid.

<sup>145</sup> Govt. of India, *Mid Term Appraisal of The Second Five-Year Plan of Sikkim: Report of The Technical Team* (New Delhi Planning Commission, 1964), p.46.

ineffective as most of the land were turned barren few days after the plantation drive was conducted because of the problem of over grazing.<sup>146</sup>

In the Third Five Year Plan period, efforts were made only towards the consolidation and extension of what was done in forestry during the first two plans. Plantation and Nursery, Cultivation of Medicinal Plants which were the two of the ongoing projects which were given the priority. At the end of the three plans, a total of 9000 acres were under the *Plantation and Nursery* and every year they were being added at the rate of 1200 acres.<sup>147</sup> And not to forget, there was also a programme for the protection and preservation of wildlife launched. For this, the Forest Department launched the Public Awareness Programme to create an awareness drive about the importance of protection of wildlife.<sup>148</sup>

## **Agriculture**

Nature of the terrain in Sikkim has influenced agriculture greatly, soil and climatic condition too has affected. The high rainfall and the differing altitude and climate have created an opportunity for growing a huge variety of cash crops and food crops. The most important food crop in Sikkim is *Maize* and *Paddy* and the major cash crops are *cardamom, potatoes, oranges, apples, and vegetables* which is exported outside Sikkim in sizeable quantities.

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<sup>146</sup> Govt. of Sikkim, *The Second Year Plan of Sikkim: Progress Report for the period April 1961- February 1966*, Part I (Gangtok Planning and Development Department.),p.11.

<sup>147</sup> *Sikkim Herald*, May 18, 1972, pp.1-2.

<sup>148</sup> Ibid.

The area which is under cultivation in Sikkim maybe shown as under:

**Table 3.2;**

| <i>Crops</i>           | <i>Acers</i> |
|------------------------|--------------|
| 1. Maize               | 135,000      |
| 2. Paddy               | 30,000       |
| 3. Cardamom            | 15000        |
| 4. Millet              | 12,000       |
| 5. Wheat and Barley    | 11,000       |
| 6. Oranges             | 5,000        |
| 7. Potatoes            | 4,000        |
| 8. Apples              | 2,000        |
| 9. Buck Wheat          | 2,000        |
| 10. Other Crops        | 34,000       |
| <i>Total all crops</i> | 2,50,000     |

Source: Govt. of Sikkim, *Sikkim- The Land and the People*, p.5.

### **The Plan period and Agriculture**

There were many difficulties with regard to development of agriculture in Sikkim. The difficulties that Sikkim faced and is still facing is due to the hilly nature of terrain, lack of irrigation facilities, limited extension of arable land and feudal practices that continue to linger in the villages. While the aspect of the feudal vestiges to change call for efforts at the political and social level, the natural constraints cannot be altered in the sense the terrain cannot be changed. However, technology can be an answer to such questions of difficulties and by the proper use of it the problem can be solved to a huge extent. It was under these difficulties that the objectives of agriculture under the First Seven Year Plan were to be formulated.

Some of the objectives under the plan head of Agriculture were; to develop agriculture scientifically and to increase the per acre yield of important crops and make the country



self-sufficient in some of the food grains which were being imported from outside.<sup>149</sup> The first objective is yet to be fully realized and the second objective to increase the per acre yields of important crops and make the state self-sufficient in some of the food grains requirement also proves to be unrealistic as the import of the foods continued even after the start of the plan period in the year 1954 and is still continuing till today.

In the first seven year plan, a sum of ₹13 Lakhs was spent under the head of Agriculture and a sum of ₹11.21 Lakhs was given for horticulture.<sup>150</sup> It was only after the beginning of the plan period that a public awareness on planning of agriculture was aroused. There was no Department of Agriculture in Sikkim before the start of the plan period. For the first time, an organized Department for Agriculture was started in the year 1955 with the appointment of Director of Agriculture and few other subordinate staff.<sup>151</sup>

In the first plan period the department of agriculture brought some improved varieties of crops from India. In terms of physical targets of cash crops, 88,000 cardamom seedlings, 56,352 subtropical and 31,548 temperate fruit plants were distributed. In the first plan itself the farmers were supplied with 271 mound of potato seed, 38 mound of wheat seed and 68 mound of hybrid maize seed. Also 50 tons of fertilizers were distributed. 5510 acers of crop area and 26,100 fruit trees were protected against pest and disease.<sup>152</sup>

A potato farm was established at Temi during the first plan. In Gangtok and Rongli cardamom nurseries were established. At Pangthang, East Sikkim, some nine miles from Gangtok a nursery for subtropical fruits was established. An apple orchard at

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<sup>149</sup> Govt. of Sikkim, *Seven Years of Progress: 1954-61* (Gangtok Sikkim Durbar Press, 1962). p1.

<sup>150</sup> Ibid.

<sup>151</sup> Ibid.

<sup>152</sup> Govt. of India, *Second Five Year Plan of Sikkim: Report of the Technical Team* (New Delhi: Planning Commission), p.30

Lachung was started and a nursery for temperate fruits was started at Lagyap. For the preservation of orange and to produce fruit juice for commercial market '*Sikkim Supreme Fruit Preservative factory*' was started near Singtam. During the first plan period 28 Sikkimese were sent to India to be trained in different courses related to Agriculture and Animal Husbandry. During the second plan basically consolidation of what was done in the first plan was done. With regard to agriculture further development was considered keeping mainly the line of approach that was adopted in the first plan. The technical team who visited Sikkim before launching of the second plan suggested some of the following objectives;

The suggestions essentially were that improvement of crops must be based on a more realistic approach fitting to the local condition and the needs of the people. It should be prominently kept in view the promotion of crops which has an export value.<sup>153</sup> By considering this observation the draft for the second plan was proposed with the following objectives.

1. To develop horticulture by encouraging people to plant orchards.
2. Focus was given to development of cash crops like cardamom, oranges, potatoes, and apples.
3. Plant protection major must be adopted.
4. Further organization of the agricultural department.
5. Training of local people in agriculture and horticulture.<sup>154</sup>

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<sup>153</sup> Govt. of Sikkim, *Mid Term Appraisal of The Second Five Year Plan of Sikkim*: Report of the Technical Team (New Delhi Planning Commission, 1964) p.31.

<sup>154</sup> Govt. of Sikkim, *Second Development Plan*. (A Five Year Plan 1961-62-----1965-66), unpublished draft, part 1, 1960. p.15.

A decision was taken, in order to meet these objectives, the existing activities shall be continued and emphasis will also be given to agriculture research and education.<sup>155</sup>

The Second Technical Team visited Sikkim in the middle of the second plan and observed the need of revision of the plan with regard to agriculture and animal husbandry which were the base of economy of the country. The team said more emphasis must be given to development of agricultural production and irrigation. For Animal Husbandry they made a suggestion for the development of cattle, poultry and piggery. The team also suggested to give major importance for the development of horticulture and the growing of vegetables particularly for meeting the demands of the Indian Army who were stationed at Sikkim.<sup>156</sup>

During the Second Five Year Plan a sum of ₹28.92 Lakhs was given under the head of Agriculture, ₹1.45 Lakh was given for minor irrigation and ₹4.56 Lakh under the head of Soil Conservation. The largest share of the fund i.e. ₹28.92 Lakh under the head Agriculture was used for strengthening the Department.

Some of the specific achievements during the second Five Year Plan in Agriculture were the establishment of a seed farm at Gyalsing West Sikkim and by the beginning of 1966 the farm was fully functional. During the Second Plan period one Farm Manager and two Research Assistants joined the construction of building which was completed at the end of the plan.<sup>157</sup>

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<sup>155</sup> Ibid.

<sup>156</sup> Govt. of India, *Mid Term Appraisal of the Second Five Year Plan of Sikkim: Report of the Technical Team* (New Delhi: Planning Commission, 1964)

<sup>157</sup> Govt. of Sikkim, *The Second Five Year Plan of Sikkim: Progress Report for the period April 1961-February 1966*, Part I (Gangtok Planning and Development Department). p.1

Under the Indian Council of Agricultural Research (ICAR) schemes to improve agricultural techniques were initiated. ICAR conducted maize trial in their nurseries at Gangtok and Gyalsing. A variety of paddy called *addey* was selected and was multiplied and distributed to the progressive farmers for further multiplication. Also some vegetables were selected and multiplied. An orchid sanctuary of 35 acers was started at Deorali in the year 1961. At the end of the plan more than 300 species of valuable orchids were produced. At Ribdi, West Sikkim a potato farm was established with 100 acers of land under cultivation.<sup>158</sup>

During the Second Plan, different plant protection measures were adopted and by the end of 1964-65 this measure proved to be successful. During the end of Second Plan there was a bumper harvest of oranges and apples mainly because of this protection measure. A pest control programme was started in the year 1965 and this also became a phenomenal success with 2500 acres of standing maize, paddy, cardamom, and vegetables being protected from the pests' attack. During the Second Plan, 1253 farmers were provided with loan of ₹4,60,535/- with the aim of bringing improvement in the land, with the aim to increase fruit gardens, and for purchasing seeds and seedlings, bullocks and fertilizers etc. Also there was a scheme of providing mulching cows to the progressive dairy farmers and with regard to this a sum of ₹31,500/- as separated.<sup>159</sup>

During the Third Five Year Plan a more practical measure was adopted in the area of agriculture. The limitations encountered in the development of agriculture in Sikkim

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<sup>158</sup> Ibid.p.p.4-5

<sup>159</sup> Ibid.p. p3-4

was observed in the two former plans. So, during the third plan the planners carefully observed and said:

“In view of the limitations because of the hilly and mountainous terrain, terrace cultivation, lack of assured irrigation facilities and the scattered population, it was not possible to attain self-sufficiency in food grains but all efforts should be made towards substantially increasing the per acre yields of cereals and cash crops and thereby raise per capita income and the standard of living of the people.”<sup>160</sup>

Also, in the Third Plan period, attempts were made to minimize the outlay with regard to additional staffs and building which were not directly productive.<sup>161</sup>

So, the main objectives of Agriculture during the Third Five Year Plan were;

1. To achieve and appreciate increase in general production.
2. To increase per capita income by using diversified crop pattern and development of Horticulture, cash crops and mix farming.<sup>162</sup>

Although the limitations of agriculture were recognized during the Third Plan, the importance of agriculture was never denied. During the Third Five Year Plan a total amount of ₹48.11/- Lakh was allocated under the head of Agriculture. For irrigation a fund of ₹9.09/- Lakh was given and for Soil Conservation ₹13.25/- Lakh was given. The amount was nearly double as compared to what was given during the Second Plan.<sup>163</sup> This indicates the agriculture was given utmost priority during this plan period too.

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<sup>160</sup> Govt. of Sikkim. *The Third Five Year Plan 1966-71: Final Draft*, Vol. I (Gangtok: Planning and Development Dept. 1966),

<sup>161</sup> *ibid*

<sup>162</sup> *Ibid*.

<sup>163</sup> See Ch.1 Table 2.4.

The two main food crops of Sikkim, namely *Maize and Paddy*, were identified for targeted improvement during the third plan and the Department of Agriculture conducted a special research for the development of *maize and paddy*, to improve the existing standard of these crops. High yielding varieties of maize seeds and fertilizers were distributed. One of the important achievements in the field of paddy cultivation was ‘*Taichung*’ a variety of paddy introduced during this plan and this variety is known to have revolutionized the paddy cultivation and production in Sikkim. Some of the advantages of *Taichung* variety are that, it matures early, it has wide climatic adaptability, and strong resistance to falling off due to it is dwarf and strong stems.<sup>164</sup>

Some of the achievements in the field of agriculture during the Third Five Year Plan 1966-71 were:

1. Steps were taken to conduct a trial of different varieties of paddy which were said to have higher productivity than *Taichung* and these were obtained from the International Research Institute, Philippines and also some of the well-known research centers in India.
2. Potato seeds which were resistant to the disease *wart* was imported and distributed to a number of selected farmers and was also extensively cultivated in the Government farm at Hillay.
3. Control of disease in oranges was successfully carried out.
4. At 9<sup>th</sup> mile Gyalzing a garden for subtropical fruits was started which contributed in producing some of the finest oranges.

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<sup>164</sup> Chief Secretary's Report, January 21, 1971, *Sikkim Herald*, April 4, 1971, p.7.

5. Also the other farm at Gyalzing was a nerve center for trials and maintained a good center to conduct trials of different crops like *maize, paddy, oranges and citrus* fruits.<sup>165</sup>

- **Power and Industries**

Power and industries constitute the secondary sector of the economy. Power is the fundamental necessity for the growth and development of any industries. In this section, we will deal how much the different economic plans of Sikkim helped in developing Power and Industries.

Development of power is absolutely necessary for the industrialization of any country. The main advantage of Sikkim in this area is that Sikkim has a great potential for electricity generation. Sikkim being a mountainous region and being blessed with large number of turbulent streams and rivers it has a great potentiality for hydroelectricity generation. The state of Sikkim is blessed with vast water resources and for the first time this was appreciated by the government in the early 20<sup>th</sup> century when, for the first time, Gangtok got electrified in the year 1927. For the first time two hydroelectric turbines was set up, one was installed on the left bank of *Rani Chu* below Sichey Busty in East Sikkim, having capacity of 50 kilowatts of power generation. And in the year 1934 another turbine was established having power generating capacity of 50 kilowatts. Now with these two hydroelectricity turbines, the total power generating capacity of the state became 100 Kilowatts and this situation continued till the beginning of the plan period in the year 1954.<sup>166</sup>

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<sup>165</sup> Ibid.

<sup>166</sup> R.N. Sharma, "Development of Electricity in Sikkim", *Sikkim Herald*, June 12, 1970.

At the beginning of the first developmental plan, the electricity that was supplied to Gangtok met only half of the requirement of the town and there was no supply of power to any other part of the kingdom.<sup>167</sup> When the First Seven Year Plan was launched, there was demand for the power supply in the capital itself; this was because of the increasing numbers of the buildings, offices, and the growth of population in the town. The demand, it may be stressed, was for domestic power supply and not so much for industries that hardly existed then. To meet with this demand a Diesel Power House was established at Gangtok with two sets of Diesel Generators of 275 and 100 Kilowatts each. The first one was established in the year 1958 and the other in the year 1961. Now the total power generating capacity of the state (both hydel and diesel) was 475 Kilowatts.<sup>168</sup>

Before the start of the first plan the industrial use of electricity in Sikkim was very less, the small press i.e. *Sikkim Government Press* was the only industry using electric power. During the first plan the installation of Diesel Power House with two electricity generators also cleared the path for the functioning of many small scale industries in and around Gangtok. One of the most notable factories to use power extensively was *Palden Thondup Namgyal Institute of Cottage Industries*. The Government of India Press, the Sikkim Government Press, the Flour Mill, all of these in Gangtok made use of electricity extensively.

The domestic use of electricity also increased drastically. Before the start of the plan period there were only 350 houses with domestic electricity connection. At the end of the First plan there were 350 more domestic connections now coming to the total of

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<sup>167</sup> Govt. of Sikkim, *Sikkim Development Plan*, (Gangtok:Sikkim Durbar Press, 1955),p.18.

<sup>168</sup> R.N. Sharma, "Development of Electricity in Sikkim", Sikkim Herald, June 12, 1970.



700. Additionally with the installation of two power plants the revenue that used to be generated from electricity increased from ₹26,000/- in 1954 to ₹1,16,000/- in 1961.<sup>169</sup>

### **Development of Power Projects During the Second Plan**

Development during the second plan with regard to Power and Electricity was the *Rongnek Chu* hydroelectric power project. This project was however started in the year 1957 by the Government of Sikkim in Collaboration with the Central Water and Power Commission Govt. of India but it was completed only during the end of Second plan period. The power house of the system and its transmission lines had already been completed in the year 1963 but due to seepage in the fore bay tank it was not possible to store and run the turbines. So, it took a long time before it was completed in the year 1966.<sup>170</sup>

The *Rongnek Chu* project had six turbines. Each turbine had an output of 350 kilowatts. From all these one of it was kept as a substitute for meeting the peak hour load during emergency situation. The *Rongnek Chu* power house had total capacity of producing 2,100 kilowatts of power and from there 350 Kilowatts was kept aside to meet peak hour requirements. At the end of the second plan Sikkim had the total power generating capacity of 2575 kilowatts- including both hydro and diesel power generators.<sup>171</sup>

The other schemes that were completed during the second five-year plan were;

1. Diesel Power House Gangtok distribution system was remodeled with 150 Kilowatts of Diesel alternate for Gangtok.

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<sup>169</sup> Govt. of Sikkim, *Seven Years of Progress:1954-61* (Gangtok: Sikkim Durbar Press, 1962), p.1.

<sup>170</sup> R.N. Sharma, "Development of Electricity in Sikkim", *Sikkim Herald*, June 12, 1970.

<sup>171</sup> Ibid.

2. Several Micro hydel project were started; however, there was not much progress seen. The micro hydel projects started at Manul, Rothak, Rongli, and Gyalsing, were not completed in the second plan so it was shifted to be completed in the third plan.
3. The Lagyap hydel project started in Nathula in East Sikkim was most hopeful of all hydel power project. When completed it was expected to generate 6000 Kilowatts of power.<sup>172</sup>

The project was deemed to be started in the Second Five Year Plan, however by the end of the Second Plan the Public Works Department completed only the survey work of the third phase of the project.<sup>173</sup>

### **Third Plan**

During the Third Five Year Plan there was not much progress seen in the field of power. The achievements were very few like the completion of three hydel projects at Manul, Rothak and Rimbi all these were micro projects. The Manul project had a power generating capacity of 50 Kilowatts and this was completed in the year 1969. The Rothak Power house had 200 kilowatts of Power generating capacity and this was completed in the year 1970. Rimbi also had a capacity of producing 200 Kilowatts of power which was completed in the year 1971.

In connection with development of power or the generation of electricity Sikkim made some big achievements during the three different economic plans. There was a remarkable increase in the generation of electricity during the first three plans. If we

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<sup>172</sup> Govt. of Sikkim, *The Second Five Year Plan of Sikkim: Progress Report for the Period, April 1961*, part 1, (Gangtok Planning and Development Department.), p.16

<sup>173</sup> Ibid.

have to come particularly to each plan, there was an addition of 375 kilowatts of power during the first plan to the meagre generation hitherto. During the second plan there was 2,100 kilowatts generation added while the addition was a mere 450 kilowatts during the third plan.

### **Development of Industries During the Plans**

Sikkim being a hilly region and a society where feudal vestiges had remained strong, the scope for the development of industries were handicapped by natural as well as social factors. Sikkim had no small or big industries before the start of the plan period. However, there were few cottage industries which supported the household necessities and the local trade. The traditional craftsmanship of Sikkim dates back to several centuries. The Lepchas possessed expertise in bamboo craft and wood works.<sup>174</sup> The creativity of the Lepchas was applauded by Dr. Hooker himself when he visited Sikkim in the nineteenth century. The Bhutias who came to Sikkim in the fourteenth century brought with them the ancient Tibetan practice of carpet and Rug weaving.

These Sikkimese handicrafts, particularly carpet making, has survived all odds and is still surviving at its best. The patronage from the government is also very important in this regard. The Administrative Report of the Sikkim state for 1910-11, in this regard, said:

“Carpets are still made at palace factory, which since the death of the Maharani is maintained by the Maharaja, but outside orders are very few.”

The two weaving schools at Lachung and Lachen, which are managed by the ladies of the Scandinavian Alliance Mission stationed there, received aid from the state. The school

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<sup>174</sup> Hooker, Joseph. *Himalayan Journals: or Notes of a Naturalist in Bengal, the Sikkim and Nepal Himalayas, the Khasia Mountains and C*, 1854, London. J. Murray.

buildings and looms are the property of the state and the small annual grant is given for their maintenance. In return the state receives two annas in the rupee on all sales.”<sup>175</sup>

After the start of the plan period the Government gave more and direct patronage to cottage industries. During the First Seven Year Plan the government spent a sum of ₹3.87 Lakh for the development of Cottage Industries.<sup>176</sup>

*Palden Thondup Namgyal Institute of Cottage Industries* was started in the year 1957. This institute was started specially to train Sikkimese boys and girls in local handicrafts. During the First Seven Year Plan there were 42 students who successfully completed the course specialized in the following crafts; Carpentry, Hand-made paper, Carpet making, Handloom and Lepcha weave and Doll Making.<sup>177</sup>

In the year 1959, the carpentry section of the institute was upgraded into training cum production unit. This was done in order to meet the growing demands of the people as well as the government for furniture. Furniture, until then, used to be obtained from the neighboring West Bengal, especially from Siliguri and Kalimpong. During the Second Five Year Plan, both training and production units went side by side in the Institute. As per the *Progress Report of the Second Five Year Plan*, there were 113 trainees who completed their training in different craftsmanship. The following are the different crafts in which these people were trained; Traditional Art, Doll Making and Multicrafts, Carpet Making, Handloom and Lepcha Weave, Handmade Paper, Carpentry.<sup>178</sup> The trainees were given a monthly stipends of ₹30. Trainees came from different corners

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<sup>175</sup> Govt. of Bengal, *Administrative Report of the Sikkim State for 1910-11* (Calcutta: Bengal Govt. Press), p.4

<sup>176</sup> See Ch.1 Table I

<sup>177</sup> Govt. of Sikkim, *Seven Years of Progress: 1954-61* (Gangtok Sikkim Durbar Press, 1962) p.16

<sup>178</sup> 1. Govt. of Sikkim, *The Second Five Year Plan of Sikkim: Progress Report for the Period, April 1961 to Feb 1966*, Part 1 (Gangtok Planning and Development Department)p.17. 2.”Palden Thondup Cottage Industries Institute, “*Sikkim Hereld*. 1 March 1967, p. 13.

of Sikkim and two hostels, one each for boys and girls, with 20 and 40 seats respectively were constructed during the second plan.<sup>179</sup>

Apart from the training courses that were offered at the institute in Gangtok, selected candidates were given separate stipends to undergo different vocational training in India. During the Second Five Year Plan seven students were sent for the following specialized vocational training: Automobile Engineering, Handmade Paper course, Leather work, electrical course and tailoring.<sup>180</sup> Apart from the attention being paid to all these programmes, two new weaving centers were opened at North Sikkim, one at Lachung and other at Lachen. However, the Lachen center was closed down soon due to technical difficulties.<sup>181</sup>

During the Third Five Year Plan, The *Palden Thondup Namgyal Institute of Cottage Industries* operated as usually as it used to during the Second Plan. By the end of 1970 there were nearly 100 boys and girls who were receiving training at the institute and also 85 trained people were employed in the production house of the Institute. By the end of Third Plan, the sales from the Institute was valued at ₹1.25 Lakh per year.<sup>182</sup>

Now let us look upon other industries.

When the Plan period was started in Sikkim it was Distillery that established its first strong foothold in Sikkim. In the year 1955 there was a governmental approval for the opening up of wine and liquor distillation center near Rongpo. The Sikkim Distilleries was so successful that still this is one of the most successful industry in the State. By

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<sup>179</sup> Ibid

<sup>180</sup> Ibid

<sup>181</sup> Ibid.

<sup>182</sup> "The Process of Planned Development: Industries, Mining, and Commerce", *Sikkim Herald*, June 1, 1972, p.2.

the end of the Third Five Year Plan this distillery gave employment in managerial post to some 30 people and some 150 people were employed as laborers. With the Third Plan, the Sikkim Distillery was equipped with the most modern distillation machines. The products from Sikkim Distilleries even secured overseas markets. In the year 1970-71 the business progress made by Sikkim Distilleries reached a turnover of ₹49.36 Lakhs.<sup>183</sup>

Another industry that was commercially successful was “*Government Fruit Preservation Factory*”, set up at Singtam in 1956, during the First Plan. After cardamom, orange is the main cash crop of Sikkim. But there was then no proper market for the orange growers so the growers were always suffering a huge loss. They were compelled to sell their product to the middlemen at low prices offered and they were left without another option but to sell their oranges at the low price because orange is a perishable commodity and not selling them meant not even getting a little that was offered. The establishment of the factory became great relief for the orange growers; the losses that farmers suffered previously became a thing of the past. In addition, the factory also provided the incentive for bringing additional area under orange cultivation.<sup>184</sup> In the beginning the factory was not commercially successful. The first technical team who visited Sikkim at the end of the First Plan pointed out that the factory was not in proper condition mainly because of the lack of proper planning and management. Although the factory was set up in the right location and had all the modern equipment but it worked for only four months in a year i.e. during the apple and the orange harvest season. The first technical team therefore suggested, the

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<sup>183</sup> Address by I.S Chopra, Dewan of Sikkim, on 04/04/1972. Published by Government of Sikkim.

<sup>184</sup> Govt. of Sikkim, *Second Development Plan* (A Five Year Plan 1961-62---1965-66), unpublished Draft, Part 1, 1960,p.3.

production unit must be diversified and the factory must work for a longer period.<sup>185</sup>

The authorities followed the suggestions and within few years the factory became commercially successful.

### **Mining and Tea Industry**

During the Plan Period considerable progress was made in the area of mining. From the year 1956 onwards, the *Indian Bureau of Mines* got full cooperation and consent from the Durbar and they started searching for the *Copper Ore* in Sikkim; during this search Zinc, Lead and Silver ores were also found. The result was so encouraging that *The Sikkim Mining Corporation* was established by the *Royal Proclamation of February 27, 1960*.<sup>186</sup> This was a joint undertaking of the Government of Sikkim and the Government of India. In this joint undertaking the Government of Sikkim held 51% of the share capital and 49% was held by the Government of India. There was a mine near Rongpo named *Bhotang mines* having workable properties of multi metals like Copper, Lead, Zinc and Traces of Silver.<sup>187</sup>

As a result, *the Sikkim Mining Corporation*, by the end of the First Plan, employed about 200 persons indeed, a few of them alone were Sikkimese but majority were the Indians. All the technicians were the Indians. However, the Sikkimese were being trained to make them responsible for running and developing mines in the future when the mines would be completely theirs.<sup>188</sup> However the Sikkim Mining corporation ran at loss for several years and also due to the devastating flood of 1968 the efforts of the corporation was suddenly brought to standstill. Part of the hill collapsed and fell down

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<sup>185</sup> Govt. of India, *Second Five Year Plan of Sikkim: Report of the Technical Team* (New Delhi: Planning Commission, 1961) pp.5-6.

<sup>186</sup> The Sikkim Mining Corporation Proclamation of 1960. *Old Laws of Sikkim*, 27<sup>th</sup> February 1960.

<sup>187</sup> <https://www.mindat.org/loc-342852.html> Retrieved on April 11 '2022.

<sup>188</sup> *Sikkim Herald*, June 1, 1972. P.1

on the mill area and destroyed a large part of the mill. By March 1970 it was repaired and the corporation showed earnings to the tune of ₹10 Lakhs in foreign exchange out of its exports since then.<sup>189</sup>

During the Second Five Year Plan no new industries were added except that of Tea estate at Kewzing, West Sikkim. At Kewzing, 700 seed beds were prepared and some 3 lakhs seeds were sown. In the last year of the Plan all these seeds were grown and there was a small tea garden established at Kewzing. 50 Tibetan refugee families were employed there; the Government of Sikkim also provided them with accommodation and other facilities.<sup>190</sup> During the Third Five Year plan, one tea industry was further expanded. For developing self-generating economy and for the long term planning, tea estates were developed at Temi Tarku in South Sikkim in 1969. This tea estate was commercially successful and by the end of the Third Plan it provided employment to 900 laborers and 16 administrative personnel.<sup>191</sup> The expenditure went up to approximately ₹57 Lakhs by the end of the Third Plan.<sup>192</sup>

- **Health and Education**

Health and Education comes under the tertiary sector, and in any economic plan this service must be given adequate consideration. The influence of British rule in Sikkim is very important if we have to consider the history of Modern Medicine in Sikkim. In the beginning of the twentieth century there was only one dispensary in the whole kingdom which used to serve the people with allopathic medicine drug. The number increased to six by 1910-11. Out of these six dispensaries three were run by *Scottish*

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<sup>189</sup> Ibid. pp.1-2

<sup>190</sup> Govt. of Sikkim, *The Second Five Year Plan of Sikkim: Progress Report for the period, April 1961-february 1966*. P.18

<sup>191</sup> Sikkim Herald, June 1 '1972.p.p2,4

<sup>192</sup> Sikkim Herald, June 1 '1972.p.p2,4.



*Missionaries*, Government of Sikkim looked after the two, and one was looked after by the Government of West Bengal. The total expenditure cost to Government of Sikkim for running the dispensaries during the same year was approximately ₹5,500/- only. And there were approximately 30,000 patients treated through those dispensaries during the same year.<sup>193</sup>

**Table 3.3**

**Details of Dispensaries in Sikkim (1910-11)**

| <i>Dispensaries</i>     | <i>No. of Patients Treated</i> | <i>State Expenditure</i> |
|-------------------------|--------------------------------|--------------------------|
| A. State Dispensaries.  |                                |                          |
| 1. Gangtok              | 7,430                          | 3,415                    |
| 2. Chidam               | 8,267                          | 1,719                    |
| 3. Rongpo               | 6,109                          |                          |
| B. Mission Dispensaries |                                |                          |
| 1. Rhenock              | 4,018                          |                          |
| 2. Soreng               | 1,537                          | 250                      |
| 3. Dentam               | N.A                            |                          |

Source: Govt. of West Bengal, *Administrative Report of the Sikkim State for 1910-11* (Calcutta: Bengal Govt. Press), p.23.<sup>194</sup>

The first hospital in Sikkim was started in the year 1917 at Gangtok. Sir Thutob Namgyal Memorial Hospital (STNM) was built in the year 1917 in memory of Sir Thutob Namgyal, the ninth consecrated ruling *Chogyal* of Sikkim who ruled Sikkim between 1874 to 1914.<sup>195</sup> The hospital was a 65 bedded facility apart from Out Patient departments.. Apart from this, hospitals of 16 beds and 6 beds were started respectively at Namchi and Singtam.

<sup>193</sup> : Govt. of West Bengal, *Administrative Report of the Sikkim State for 1910-11* (Calcutta: Bengal Govt. Press).

<sup>194</sup> Govt. of West Bengal, *Administrative Report of the Sikkim State for 1910-11* (Calcutta: Bengal Govt. Press), p.23.

<sup>195</sup> [https://en.wikipedia.org/wiki/Thutob\\_Namgyal](https://en.wikipedia.org/wiki/Thutob_Namgyal). Retrieved on 21/01/2022. 11:58 pm.

During the Plan period two new hospitals were started in Sikkim, one at Mangan, North Sikkim and another at Gyalsing, West Sikkim. So, the number of hospitals during the First Seven Year Plan increased to five from three. The total bed strength also increased to 175 from 86.<sup>196</sup> During the First Seven Year Plan an additional ten dispensaries were constructed. Dispensaries were constructed in such a way that each dispensary must serve the people within its 10 miles' radius, so that the people may reach the health center within one day. Another important feature of the medical service during the First Plan period was that the local people were trained in medical services with the view to providing health services by Sikkimese themselves. 11 doctors, 5 sanitary inspectors, 1 nurse and 9 compounders were sent to India for training.<sup>197</sup> Additionally, one compounder was trained as a microscopist and two sanitary inspectors as malaria inspectors; also 17 midwives and 5 assistant compounders received training.<sup>198</sup>

In a very short period of time there was an important breakthrough achieved in the public healthcare system, *The Statesman Calcutta* of June 2, 1960 reports:

“Due to successful health campaigns malaria and Kala azar, Sikkim's two greatest killers, had been almost eradicated by the end of the first plan, small pox was now the thing of the past and tuberculosis, venereal diseases and intestinal worms, which were another major disease were being contained.”<sup>199</sup>

The Government's act to get the people rid from these diseases can be checked from the fact that the cases of malaria was reduced from 18000 in 1956 to only 3000 in 1960-61. In addition, Kalaazar was also controlled to great extent from 4500 in 1956 to only

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<sup>196</sup> Govt. of Sikkim, *Seven Years of Progress: 1954-61* (Gangtok, Sikkim Durbar Press, 1962), p.27.

<sup>197</sup> Govt. of India, *Second Five Year Plan of Sikkim: Report of The Technical Team* (New Delhi: Planning Commission, 1961,1961)pp.76-77.

<sup>198</sup> Govt. of Sikkim, *Second Five Year:1961-66* (Gangtok: Public Relations Officer), p.22.

<sup>199</sup> “Crusade Against Disease”, *The Statesman* (Calcutta), June 2, 1960.

250 in 1960-61. People in the ruling areas, were the main beneficiaries of this programme.<sup>200</sup>

At the start of the first Seven Year plan vaccination drive against small pox was carried out extensively in the places where outbreak of the disease was reported. During the First Plan an intensive vaccination drive to control small pox was started.

The Success of the programme can be seen from the following table:

**Table 3.4**

**Vaccination Against Small Pox during the First Plan**

| <i>Year</i> | <i>Persons Vaccinated</i> | <i>Cases of Small Pox</i> |
|-------------|---------------------------|---------------------------|
| 1954        | 14,632                    | 86                        |
| 1955        | 16,564                    | 65                        |
| 1956        | 18,141                    | 142                       |
| 1957        | 36,920                    | 7                         |
| 1958        | 21,395                    | 4                         |
| 1959        | 25,272                    | 2                         |
| 1960        | 30,113                    | 1                         |

Source: Govt. of Sikkim, *Seven Years of Progress:1954-61* (Gangtok: Sikkim Durbar Press, 1962), p.28.

The above table speaks about the success of the eradication programme. It can be seen from the table that by the end of the first plan, the disease called small pox was almost completely eradicated. We can see that since 1958 only few cases of small pox were reported.

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<sup>200</sup> Govt. of Sikkim, *Seven Years of Progress: 1954-61* (Gangtok, Sikkim Durbar Press, 1962), p.23

In the year 1956, the Government of West Bengal set up a team for a pilot survey to study the venereal diseases and intestinal worms in Sikkim. The examination of the stools was conducted on a mass scale and its report revealed that the average cases of venereal disease was 58% and even as high as 87.9% in certain localities in North Sikkim.<sup>201</sup> In the year 1957 a mobile eye team toured different parts of Sikkim and conducted medical as well as surgical treatment for different eye diseases. Medical facilities for school children was started and the facilities thus provided were;

1. Annual medical checkup and also follow-up if required.
2. Monthly sanitary inspection by the compounders.
3. Regular vaccination against smallpox
4. On monthly basis in schools there were talks on first aid and hygiene by the medical officers.
5. There were 50 medical chests for different schools.<sup>202</sup>

During the Second Five Year Plan, no new hospitals were started. However, much progress was made with regard to expansion of facilities in *Sir Thutob Namgyal Memorial Hospital*, the General Hospital, so to say, of Sikkim. The entire building construction of the hospital was completed within the Second five-year plan. One surgeon cum superintendent of the hospital was appointed. The Operation Theatre was equipped with latest technology and a blood transfusion center was started. An Ophthalmology department and a Dental department was started apart from a new ward for child care; the maternity section which was placed under the inchargeship of a lady doctor was very popular among the public. Progress was made in other hospitals as

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<sup>201</sup> Govt. of India, *Second Five Year Plan of Sikkim: Report of The Technical Team* (New Delhi Planning Commission, 1961),p.75.

<sup>202</sup> Ibid p.76

well. At Namchi a maternity section was started and also an Operation Theatre and Tuberculosis ward was started; similar facilities were also made at Singtam and Gyalsing.<sup>203</sup>

While the second Five Year Plan began, there were total number of 18 dispensaries in Sikkim. During the Second Five Year Plan nine more were added. At Soreng and Rongli the existing dispensaries were upgraded.<sup>204</sup> During the Second Five Year Plan five students successfully completed their MBBS Degree, and by the end of the Plan eight students were still undergoing the training. Furthermore, during the Second Plan twelve candidates were trained as compounders and twenty four candidates as midwives.<sup>205</sup> However the dearth of technical personnel continued even till the end of Second Five Year Plan; there was a dearth of sufficient numbers of doctors and nurses too. The post of Deputy Chief Medical officer remained vacant even till the end of the Second Five Year Plan.<sup>206</sup>

With regard to preventive measure for the control of the communicable diseases like malaria, kala azar, smallpox and tuberculosis, special programs were started. Also, venereal disease and intestinal worms were extensively checked and controlled. Malaria was successfully controlled under the First Plan itself, and later during Second Plan it was aimed for its complete eradication. In the Second Five Year Plan ₹7.35 Lakh was allocated for the eradication programme, the programme was actually laid down

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<sup>203</sup> Govt. of Sikkim, *The Second Five Year Plan of Sikkim: Progress report for the period April 1961—February 1966, part1* (Gangtok: Planning and Development Department). Pp33-34.

<sup>204</sup> S.V Garde, "Medical and Public Health: Achievements of Second Plan, Progress and Prospects of Third Five Year Plan", *Sikkim Herald*, 3, No. 1 (March 1967).

<sup>205</sup> Ibid.

<sup>206</sup> Govt. of Sikkim, *The Second Five Year Plan of Sikkim: Progress report for the period April 1961—February 1966, part1* (Gangtok: Planning and Development Department). P.33.

by the Government of India.<sup>207</sup> Along with malaria, Kala Azar or *Kalo Zaro* as the disease was known locally was controlled during the First Plan itself.

Regarding control and eradication of Smallpox, a programme of mass vaccination drive continued under the subsequent plans. As per the progress report of Second Five Year Plan, 80 per cent of the people were vaccinated and there was no huge number of cases reported during the plan; this notwithstanding a few outbreaks that were reported due to the import and export of the goods. During the plan every effort was made to reduce the number of persons escaping vaccination.<sup>208</sup>

For the control of tuberculosis which was one of the widespread diseases in Sikkim, it was originally proposed to conduct mass radiography. However, Dr. T.L Bordia who was a T.B adviser to the Government of India found that radiography on a mass scale is not feasible in Sikkim because of the hilly terrain and the prevailing state of medical lab facilities. So, the proposed plan was revised and instead of mass radiography, as proposed earlier, mass collection of sputum samples and conducting its microscopic examination was initiated. The Government of India deputed one medical officer experienced in Tuberculosis for the treatment of the cases by implementing the revised measures.<sup>209</sup> Keeping in view the control of the spread of Tuberculosis, a team was sent by the Government of India on deputation and facilities for the treatment of Tuberculosis at all hospitals were made available.

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<sup>207</sup> Govt. of Sikkim, *Mid Term Appraisal of the Second Five Year Plan of Sikkim: Report of the Technical Team* (New Delhi: Planning Commission, 1964), p71

<sup>208</sup> Govt. of Sikkim, *The Second Five Year Plan of Sikkim: Progress report for the period April 1961—February 1966, part1* (Gangtok: Planning and Development Department). p.35

<sup>209</sup> Govt. of Sikkim, *Mid Term Appraisal of the Second Five Year Plan of Sikkim: Report of the Technical Team* (New Delhi: Planning Commission, 1964), pp.71-72

For the control of the venereal disease and intestinal worms, a pilot survey was started during the first plan itself and later on, in the subsequent plans to this survey project continued and with the help of a team of trained doctors and other medical staffs the entire population of the kingdom was examined and the facilities for the treatment was made available in all hospitals and dispensaries of Sikkim.<sup>210</sup>

Supply of safe drinking water is one of the important services with regard to health. In the hilly terrain like Sikkim, reaching a water connection to each household is a problem not only because it is difficult in the hills to collect water from different sources and supply it to each household but also because water in the hills are full of health hazard elements like *Mika*, *Silica*, and other types of contaminants. So, because of these reasons it was necessary for the government to provide people with this amenity. During the Second Five Year Plan, the government undertook the project called “*Village and Bazar Water Supply Scheme*.” This project was planned and implemented through the Planning and Development Department Government of Sikkim and Sikkim Public Works Department in consultation with the medical department. It can be said with regard to *Village and Bazar Water Supply Scheme* a more or less satisfactory progress was achieved during the Second Plan and the project was continued in the Third Plan as well.<sup>211</sup>

Like the Second Plan, the Third Five Year Plan was also continued with programs which were already undertaken during the First and Second Plan. This is evident from the objectives that was laid down during the Third Five Year Plan;

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<sup>210</sup> Govt. of Sikkim, *The Second Five Year Plan of Sikkim: Progress report for the period April 1961—February 1966, part1* (Gangtok: Planning and Development Department). p.8

<sup>211</sup> Ibid.

“The objectives of the Third Plan are consolidation of the Schemes already undertaken, strengthening of the Staffing position of various hospitals and dispensaries, expansion of facilities for specialized treatments and investigations and to complete the unfinished water supply and sanitation project.”<sup>212</sup>

During the Third Five Year Plan, there was no increase in the number of medical institutions excluding one new dispensary that was constructed and commissioned. However, various expansion works were undertaken in the existing medical institutions. By the end of the Third Plan, Sir Thutob Namgyal Memorial hospital provided treatment in surgery, radiology, ethology, ophthalmology, dentistry, midwifery, and gynecology and tuberculosis. The hospital also provided ante-natal and post-natal care, a child clinic, family planning center, and an up to date library. A training center for auxiliary nurses and midwives was started. Mass vaccination drive against smallpox continued to be carried out to prevent any fresh outbreak although the disease was eradicated excepting the few cases. Tuberculosis was another disease that was a cause for concern and equal emphasis was given for its control as also for the control of Venereal Disease and intestinal worms during the plan period.

As a matter of fact, there was no organized medical or public health care system before the launching of the plans. Before the start of the plan period there was only one surgeon in the whole kingdom. Incidentally, he was also the resident medical officer at the STNM hospital Gangtok with the inchargeship of its administration too. However, he could not devote much of his time to the administrative and the supervisory duties and did not do much in the distant parts of the kingdom. Therefore, it was necessary to

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<sup>212</sup> Government of Sikkim, *The Third Five Year Plans 1966-71, Final Draft, Vol 1* (Gangtok: Planning and Development Department, 1966), Health Section.



appoint a whole time medical officer solely in-charge of the organization.<sup>213</sup> During the First Plan, a Director of Health Services was appointed to meet the above requirements.

It may be noted that the maximum growth of medical services occurred during the First Seven Year Plan. All the major hospitals and the majority of the dispensaries were established during that period. The maximum number of beds were also started during the first plan period. Although beds went on increasing in the subsequent plans, thanks to the expansion programme, in the existing hospitals. We can say that the infrastructure of the health services was laid down during the first plan period itself.

## **Education**

Since the establishment of the Namgyal Dynasty in the seventeenth century, education in Sikkim was confined only to the study of the Tibetan scriptures in the different monasteries. The beginning of modern education in Sikkim can be traced back to the coming up of Finnish Missionaries in the year 1880. The Finnish Missionaries opened up three primary schools in Sikkim, one at Khamdong, one at Sang and one at Mangan. Subsequently, in the year 1884 the Scottish Missionaries established ten primary schools. The foundation of Secondary school education in Sikkim was laid by the 10<sup>th</sup> Chogyal of Sikkim, Sir Thutob Namgyal, who in the year 1889 established two schools i.e. Bhutia Boarding School and the Nepali Boarding School.

The beginning of the 20<sup>th</sup> century witnessed the setting up of a number of Primary schools, both in government and private sector, and also the establishment of Secondary schools by the Government.

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<sup>213</sup> Govt. of Sikkim, *Sikkim Development Plan* (Gangtok: Sikkim Durbar Press, 1955) p.34

The Number of Schools in 1910-11 can be seen in the Table Below.<sup>214</sup>

**Table 3.4 Primary and Secondary Schools in Sikkim in 1910-11**

| <i>Description of Schools</i>                                    | <i>No of Schools</i> | <i>No. of Pupils</i> | <i>State<br/>Expenditure/contribution</i> |
|------------------------------------------------------------------|----------------------|----------------------|-------------------------------------------|
| <b>1. <u>State School</u></b>                                    |                      |                      |                                           |
| a. Bhutia Boarding School                                        | 01                   | 42                   | 4,055                                     |
| b. Nepali Boarding School                                        | 01                   | 55                   | 2,121                                     |
| <b>2. <u>Schools Maintained by the Scottish Missionaries</u></b> |                      |                      |                                           |
| a. Lace School                                                   | 03                   |                      |                                           |
| b. Day School                                                    | 12                   | 415                  | 1,000                                     |
| c. Night School                                                  | 12                   |                      |                                           |
| <i>Total</i>                                                     | 29                   | 512                  | 7,176                                     |

Source: Government of Sikkim, *Administrative Report of the Sikkim State for 1910-11* (Calcutta: Bengal Govt. Press), p.23

By the year 1913-14 Sikkim had 2 secondary and 25 primary schools; it may be stressed here majority of the primary schools were maintained by the Scottish Missionaries, 3 Schools were maintained by the state, 6 were maintained by the landlords in their own estates and 2 by the Scandinavian Alliance Mission.<sup>215</sup> By the end of 1921 there were seven government schools and they were Bhutia Boarding School, Nepali Boarding

<sup>214</sup> Government of West Bengal, *Administrative Report of the Sikkim State for 1910-11* (Calcutta: Bengal Govt. Press), p.23

<sup>215</sup> Govt. of West Bengal, *Administrative Report of the Sikkim State for 1913-14* (Calcutta: Bengal Govt. Press), p.7.

School, a girls school mostly for the daughters of the Kazis and the Thikadars, one village school at Lachen, one village school at Lachung, Enchey Monastery School and one Industry school combined with the jail department where convicts were taught with the works of skills. One of the important reforms in the education system was brought in the year 1920 November when Maharaja of Sikkim Sir Tashi Namgyal recognized the Education Department and now the education department was placed under “*Director of Education Sikkim State.*” And it was further assisted by a “*Board of Education, Sikkim State.*” Even though secondary education in Sikkim was started as early as in 1889, there was no higher secondary school in the kingdom until 1925 and until the Tashi Namgyal Academy was founded in 1926 by Sir Tashi Namgyal.<sup>216</sup> This premier institute sent its first batch of students for matriculation examination in March 1931.<sup>217</sup>

We can witness a great deal of change in education during the era of planning. Education was now viewed not as part of a luxurious pursuit in life but as a basic necessity. In order to bring education closer to the masses and offer them an opportunity of gaining its benefits so that they may play their proper role in the development of the kingdom the government laid special emphasis on education during the plans.<sup>218</sup>

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<sup>216</sup> [https://en.wikipedia.org/wiki/Tashi\\_Namgyal\\_Academy](https://en.wikipedia.org/wiki/Tashi_Namgyal_Academy) retrieved on 27.01.2022.

<sup>217</sup> Govt. of West Bengal, *Administrative Report of the Sikkim State for 1931-32*. Pp.45-46

<sup>218</sup> Govt. of Sikkim, *Seven Years of Progress: 1954-61* (Gangtok: Sikkim Durbar Press, 1962), p.25.

**Table 3.5****The Position of Schools from 1954 to the end of the Third Plan i.e. 1971**

| <i>Types of School</i>   | <i>1954</i> | <i>1960-61</i> | <i>1965-66</i> | <i>1970-71</i> |
|--------------------------|-------------|----------------|----------------|----------------|
| 1. Lower Primary         | 70          | 117            | 117            | 164            |
| 2. Upper Primary         | 14          | 47             | 44             |                |
| 3. Middle                | 2           | 13             | 13             |                |
| 4. Junior High           |             | 1              | 5              | 21             |
| 5. High/Higher Secondary | 2           | 4              | 4              | 7              |

Source: *Sikkim Herald*, May 20, 1972.<sup>219</sup>

During the three different plans of Sikkim, great advancement was achieved in the field of education. There were about 1800 students enrolled in the primary school in the year 1954 and this number went up to 12,300 by the end of 1970. This shows a high achievement in respect of enrolment of students in primary education. If we have to talk about secondary education, there were only 600 students attending the middle school in the year 1954 and this number rose up to 6000 by the end of 1971.<sup>220</sup> The statistics about number of students reading in higher secondary school is not available but it is known that there were 7 higher secondary schools by the end of the Third Plan. If we see through all these figures we can find that during the seventeen years of plan period there was a huge increase in the number of school going children, which is a great achievement for a small kingdom like Sikkim.

During the plan period primary schools were started to ensure access to schools within the walking distance of 2 miles, Chogyal Palden Thondup made a claim in his

<sup>219</sup> *Sikkim Herald*, May 20, 1972, *Growth of Schools in Sikkim 1954-71*

<sup>220</sup> *Sikkim Herald*, May 20, 1972, *Growth of Schools in Sikkim 1954-71*.

coronation speech that *no child lived more than two miles from educational facilities*, within a walking distance of 10 miles a junior high school was established and each district headquarter had one higher secondary school.<sup>221</sup> Also to overcome the difficulties of travelling long distance to reach the school, hostel facilities at selected place was provided. At each district headquarter a library was instituted which was a social service for the readers as well as it served as centers for adult education.

Another important feature of the development of education in Sikkim was providing financial assistance and scholarships to the students. The government of Sikkim through the benevolent assistance from the Government of India arranged an annual provision of providing 25 scholarships to the post matriculate students to study in Indian institutions. Also 10 Sikkimese students were provided with scholarship to study in Indian schools. The government of Sikkim also provided financial assistance to the poor students and also gave the free supply of books to them and we can find evidence of this service as early as in 1913 through the letter sent by Sir Thutob Namgyal to the Headmaster, Bhutia Boarding School, where he has considered to supply free books to the 'destitute and the helpless boys'.<sup>222</sup>

One of the main problems in the field of education in Sikkim was the scarcity of trained teachers; the large number of teachers were required to run the schools opened during different plans. To do away with this problem a teacher training center was set up at Temi in South Sikkim in the year 1954. During the first plan period 100 teachers were trained, and from the second plan 40 teachers were trained every year.<sup>223</sup>

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<sup>221</sup> Ibid

<sup>222</sup> Letter no. 59/m. *From Thutob Namgyal to Headmaster Bhutia Boarding School*, 1913.

<sup>223</sup> *Sikkim Herald*, May 20, 1972, *Growth of Schools in Sikkim 1954-71*.

## CONCLUSION

The introduction of economic planning in Sikkim can be said to be a breakthrough if we have to see its impact over the age old economy that Sikkim had. Now the question however is how far did the economic plan of Sikkim adapt with the social fabric of the kingdom.

When we study different plans of Sikkim we can come to the conclusion that planned economy of Sikkim had a twofold objective and they were;

1. To build up revenue earning source through different projects with the aim of building a self-sustaining economy; and
2. Provision of social services in the underdeveloped kingdom like Sikkim.

Revenue earning programs like Sikkim Supreme fruit preservative factory, Sikkim Nationalized Transport, different schemes like mining and forest etc. were developed and for the provision of Social Services different projects like schools, hospitals, roads and transport, drinking water facilities were developed.

During the first plan period, efforts were made towards increasing production with the help of modern technology in both the field of industry and agriculture and also equal focus were given for the development of the provision of social services like education, medical facilities, health and sanitation, safe drinking water and transport and communication. In the above paragraph we can see that the twin objectives were pretty much focused.

In the Second Five Year Plan greater emphasis were given to the projects which were meant to earning revenue like hydro power projects, paper manufacturing, carpentry, timber floating projects and cultivation and harnessing valuable medicinal herbs. These

projects were started basically to start the financial requirements of the country and to achieve self-sustaining economy.

We have seen from the data and analysis in the foregoing chapters, that the first technical team who visited Sikkim in early 1961 made some comments for utilization of the assets which had been already created during the First Plan period in order to draft and initiate the second plan.

The main objectives of the Third Plan remained basic like it was during the First and Second Plan classified under the heads:

1. Agriculture and allied occupations.
2. Power transport and industry.
3. Social services and miscellaneous.

The objectives were;

1. To increase production, both of food and cash crop.
2. Increase industrial production.
3. Improvement of power and transport facilities that were already existing.
4. Development and expansion of social services that were already existing.

If we observe these objectives we can find that it was nothing but the further extension of whatever was done during the first two plans. The Third Plan, in other words, did not set any new tasks but stressed on consolidating on the gains from the past and setting out on the same course as from the two previous plans.

- **Achievements of Different Plans**

First of all, we must be clear that self-sufficiency in agriculture could not be achieved insofar as Sikkim was concerned. Sikkim used to import a substantial chunk of its requirements, both industrial and agricultural products and the State continues to depend on agricultural products from outside. Instead of self-sufficiency the objectives of planners must only be to simply increase agricultural production as far as possible and thus reduce the quantity imported.

The common impression whosoever visits Sikkim today is that Sikkim is doing quite well with its developmental programs. The dignitaries from government of India like Dr. V.K.R.V Rao (former member of the Indian Planning commission) and Dr. P.S Lokhanathan, (former director general of the National Council of Applied Economic Research) who visited Sikkim Gangtok at the end of 1965 shared the same view.<sup>224</sup>

We can say after three plans, Gangtok has got a sizeable numbers of beautiful buildings. Agriculture production also showed a steady increase. the Himalayan kingdom was now linked with the rest of India with the different means of road and communication of which there was nothing much or very little before 1954.

There is no source in which we can rely upon to take out the proper estimate of Sikkim national income, so it has been difficult to access the rise of national income during the plan period. However, the durbar had made an estimation of country's net domestic product in the year 1965-66 but it was more or less an abstract not specific. As per that estimation, at the end of which the kingdom made a per capita income of ₹750/- while

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<sup>224</sup> A. Bhandari, "Indian Planning Team for Sikkim", *Indian Express*, December 9, 1965.



India stagnated at ₹320/-<sup>225</sup> which was a little more than twice the National Income of India.

From Chapter 2 we can see how much revenue did Sikkim earn under each head or department grossly and we see a 10-fold increase between 1954 and 1971. This was we can say was a phenomenal increase in the internal revenue. Certainly during this period inflation may have increased and value of money may have come down, which can also mean that the rise of actual internal revenue may be less but in money figures it can be seen high which always doesn't mean that it is actual increase of the economy.

Although since the beginning of the plan period we can see the comprehensive rise of money but the above argument can be reasonable because the rise of money does not always mean the rise of economy because with time when the inflation is high the earning in numbers can be seen as big but in terms of economy it will be going down. However, in Sikkim during this period, *the rate of taxation increased very little during this period the rise of revenue also indicates a rise in real income of the people.*<sup>226</sup>

In Sikkim at present unemployment has shown up an ugly head, and this may perhaps be because of the state not being able to efficiently channelize its army of unemployed youths in proper and innovative way. Sikkim boasts of not having any native beggars in the state; the few which we see in the market place are said to be of mainland Indian origin. Another important feature of the Sikkimese economy is that it always had a stable economy. Despite Sikkim having faced some unforeseen situation on few

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<sup>225</sup> S.K Datta Ray, "Smash and Grab, Annexation of Sikkim", 2013,p.119.

<sup>226</sup> A. Bhandari, "Indian Planning Team for Sikkim", *Indian Express*, December 9, 1965.

occasions like the Sino-Indian war of 1962 and the unprecedented flood of 1968, even during such difficult time Sikkim showed some positive growth in her economy.

If we have to do a comparative study of Sikkim with India, it can be found that India was quite generous to Sikkim in terms of economic aid because, *“India’s per capita annual aid to Sikkim was ₹100/- in 1965 whereas in the neighboring state of West Bengal the per capita expenditure on developmental projects was barely a quarter of that amount.”*<sup>227</sup>

Article V of India-Sikkim treaty 1950, states;

“The Government of Sikkim agrees not to levy any import duty, transit duty or other imports on the goods brought into, or in transit through Sikkim and Government of India agrees not to levy any import or other duty on goods of Sikkimese origin brought into India from Sikkim.”<sup>228</sup>

Which means that there was free trade between Sikkim and India. As Sikkim imports more from India than she exports it can be said that the balance of trade was favoring Sikkim in all transit between Sikkim and India because as per the treaty India did not have to pay any tax while sending its goods to Sikkim and it was possible for the state of Sikkim to sell those tax free goods without imposing much tax upon its own subjects.

Sikkim’s economy must be thankful to India for her aid and help. Indeed, emotionally speaking, Sikkim is now a part of India and now she cannot develop independently like she used to until 1975 so now by default Sikkim must be thankful to India. Dr. V.K.R.V Rao (a former member of the planning commission of India) stated while he was touring Sikkim in 1965 that *“Sikkim should relate its economic development to that of the*

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<sup>227</sup> D. Bose, “Rapid Progress with Help from India: But Diversion of Manpower to Defense is a Drawback,” *The Statesmen, Kolkata, September 21, 1965*.

<sup>228</sup> R. Moktan, Sikkim: Darjeeling. Compendium of Documents, 2004, p.48.

*northern district of West Bengal.*"<sup>229</sup> This statement was actually absurd at that particular point of time because why a separate international personality like Sikkim have to relate its development with one of the district of another international personality.

Indeed, it is true that Sikkim cannot develop herself independently without being complementary to India. It can be possible for big country with vast resources like India to produce the goods which can be sufficient for the country but a tiny landlocked kingdom like Sikkim cannot do that as it is handicapped by its limited resources. So this idea at past, present or future can never be kept.

Apart from the things that Sikkim has done or is doing there are still some perspective of development that Sikkim can endeavor, although Sikkim tried to work on development and export of medicinal herbs in her economic plans but Sikkim possess a greater potential to achieve a milestone of becoming one of the largest exporter of medicinal herbs. Despite Sikkim being home to large number of medicinal herbs Sikkim is not able to utilize her resources well. With this resources Sikkim can also start a government pharmaceutical companies although Sikkim lacks in specialists and technical workers in this regard but this is a secondary consideration and the primary fact is Sikkim has potential to start such programme.

And same potential Cardamom and flowers like orchids have which is waiting for innovative action plan from the state.

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<sup>229</sup> A. Bhandari, "Indian Planning Team for Sikkim", *Indian Express*, December 9, 1965.

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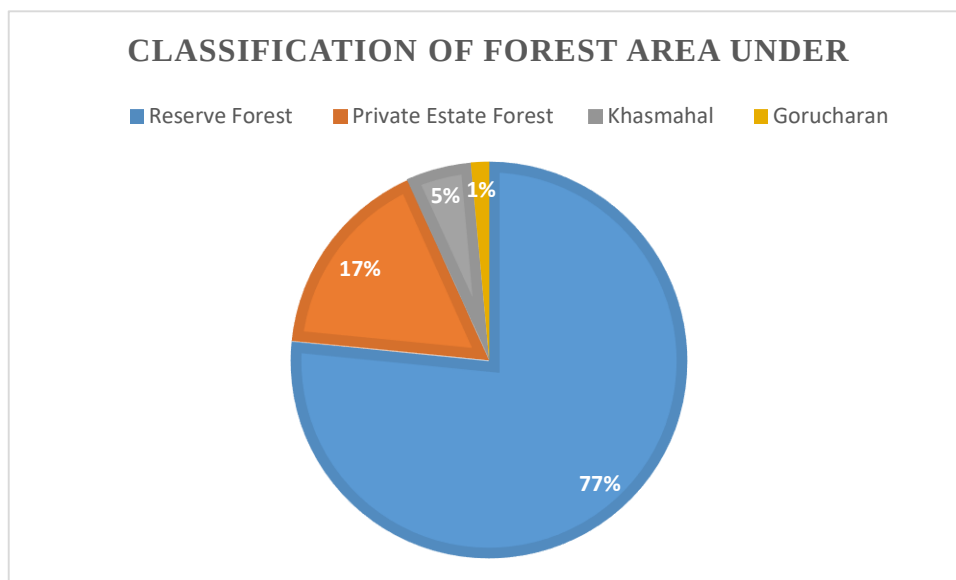
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## Appendix 1

Total area of Sikkim in Miles 4409.25 Miles

Total Forest area as per the classification presented below 748 Miles.



## Appendix 2

### Proclamation of

**HIS HIGHNESS SIR TASHI NAMGYAL KC.S .I, K.C.I.E.  
MAHARAJA OF SIKKIM,  
SIKKIM DABAR GAZETTE EXTRAORDINARY, FEBRUARY, 21, 1960  
Dated the 27th February 1960.**

Proclamation of His Highness Sir Tashi Namgyal K.C.S.I., KC.I.E., Maharaja of Sikkim , dated the 27th February, 1960.

WHEREAS it is expedient to constitute and regulate a Corporation for the purpose of developing the deposits of copper, lead, zinc and other minerals in Bhotang and other places in Sikkim and for matters connected therewith or incidental thereto.

His Highness the Maharaja of Sikkim is pleased to proclaim and ordain as follows:

1. This Proclamation may be cited as the Sikkim Mining Corporation Proclamation of 1960.

2. In this Proclamation

- (a) "Board" means the Board of Directors of the Corporation.
- (b) "Corporation" means the Sikkim Mining Corporation.
- (c) "Financial year" means the year commencing on the 1st day of April
- (d) "Managing Director" means the Managing Director of the Corporation

(1) There shall be established a Corporation to be called the Sikkim Mining Corporation

(2) The Corporation shall be a body corporate, having perpetual succession and a common seal, with power to acquire, hold or dispose of, property, both movable and immovable, and shall by the said name, sue and be sued.

(4) The authorised capital of the Corporation shall be one crore rupees, divided into one lakh fully paid up shares of hundred rupee each, of which 49000 shares of the total value of forty nine lakh rupees shall be issued to the Government of India and the remaining 51,000 shares of the total value of fifty one lakh rupees shall be issued to the Government of Sikkim or its nominee.

(5) Any holder of a share may, with the previous approval of the Board, transfer that share

(6) Notwithstanding anything contained in this Proclamation no shares of the Corporation shall be issued or transferred to any person who is not a citizen of Sikkim or a citizen of India

7. The general superintendence and direction of the affairs of the Corporation shall be entrusted to the Board of Directors, who may exercise all Powers and do all acts and things which may be exercised or done by the Corporation.

8(f) The Board of Director shall consist of the following, namely.

- (a) the Maharaja Kumar of Sikkim the Heir Apparent for the time being who shall be the Chairman of the Board;
- (b) one Director nominated by the Government of Sikkim;
- (c) three Directors nominated by the Government of India.

(2) Notwithstanding anything contained in sub-section (i) two, additional directors may be appointed on the Board, one by the Government of Sikkim and another by the Government of India.

9. The directors of the Board shall receive such remuneration for attending meeting of the Board as the Board may fix in this behalf

10. A nominated, director shall hold office during the pleasure of the authority nominating him.

11. The Board may, from time to time, appoint one or more committees for the purpose of assisting the Board in the efficient performance of its functions.

12. The Corporation may appoint such number of employees as it considers necessary.

13. (1) The Government of India may appoint any Director nominated by it on the Board to be the Managing Director of the Corporation.

(2) The Managing Director shall exercise such powers and discharge such duties as may be delegated to him by the Board,

14. The Board and the committees constituted by it shall meet at such times and places and shall observe such rules of procedure including quorum in regard to the transaction of business at its meetings as may be determined by the Board.

Provided that the Board shall meet at least once in a period of three months.

15 The Corporation may carry on and transact any of the following kind of business, namely:

- (i) to purchase, take on lease or otherwise acquire any mineral field mine and mineral

(ii) to search for, prospect, get, win, work, raise, beneficiate, smelt, refine or otherwise process, sell, dispose off and deal in, all minerals and substances and to manufacture and sell all products and to develop the resources of any lands, properties and rights and privileges to be at any time acquired by the corporation

(iii) to construct, equip, develop and administer, manage or control, in Sikkim, mines, quarries, ore treatment, smelting and refining plants and to improve them in a manner calculated to advance the interests of the Corporation

(iii) to construct, equip, develop and administer, manage or control, in Sikkim, mines, quarries, ore-treatment; smelting and refining plants and improve them' in the manner calculated to advance the interests of the Corporation;

(iv) to provide for the welfare of its employees, or ex-employees of the Corporation and their families;

(v) to do all other, things as are incidental as, may be' thought conducive to the, attainment of the above objects or any of them.

16. (1) The Corporation shall constitute its own fund and all receipts of the Corporation shall be carried thereto and all payments by the Corporation shall be made there from.

(2) All moneys belonging to the fund shall be deposited in such manner as may be determined by the Board.

17. (1) The Corporation shall establish a reserve fund to such extent, in such manner and for such purposes as may be determined by the Board.

(2) After making provision for reserve fund and for bad and doubtful debts, depreciation of assets and all other matters which may be specially provided in this behalf by the Board, the Corporation shall, out of its net annual profit, declare a dividend.

18 The affairs of the Corporation shall be' audited by auditors appointed by the Board.

(19) (1) A general meeting of the Corporation shall be held annually at a place which may be fixed in this behalf, by the Board.

(2) The share holders present at the annual general meeting shall be entitled to discuss the annual accounts, the report of the Board on the working of the Corporation throughout the year and the auditors' report and the manner in which the objections raised in the audit report have been dealt with;

20 The Board shall in October each year prepare in such form as it thinks fit a budget for the next financial year showing the estimated receipts and expenditure during the financial year.



21 The Corporation shall furnish to the Government of India and to the Government of Sikkim, a monthly report of, its progress and activities and such other information as any such Government may require

22 The Corporation shall, furnish to the Government of India, and to

the Government of Sikkim, at the close of each financial year a statement of its assets and liabilities as at the close of that year together with the profit and loss account for the year, the auditors' report how it has been dealt with by the Corporation and the report on the working of the Corporation during the year.

23 (1) The Corporation shall keep a register of the share holders in which shall be entered the following particulars so far as they may be

available :

- (i) The names, addresses and occupations, if any, of the share holders and a statement of the shares held by each, shareholders distinguishing each. Share by its denoting number
  - (ii) the date on which each person is so entered as a shareholder;
  - (iii) the date on which any person ceases to be a shareholder; and
  - (iv) such other particulars as the Corporation may determine,
- (2) the Corporation may maintain such other books or registers as it thinks fit.

2.4 No suit, prosecution or other legal proceeding shall lie against any Director of the Board or any other person in the employment of the Corporation for anything which is in good faith done or purported to be done under this Proclamation.

25. The Board may direct that any power or duty conferred or imposed upon the Corporation or the Board shall, in such circumstances and under such conditions, if any, as may be specified by the Managing Director or any employee of the Corporation,

26. The Board may make regulations not inconsistent with this Proclamation to provide for all matters for which provision is necessary or expedient for the purpose of giving effect to the provisions of this Proclamation.

**TSE TEN TASHI,**  
**Private Secretary to**  
**His Highness the Maharaja of Sikkim**